

THE COMPANY FOR COOPERATIVE INSURANCE
(A SAUDI JOINT STOCK COMPANY)

**UNAUDITED INTERIM CONDENSED CONSOLIDATED FINANCIAL STATEMENTS
AND INDEPENDENT AUDITORS' REVIEW REPORT
FOR THE THREE AND NINE MONTHS PERIOD ENDED SEPTEMBER 30, 2024**

THE COMPANY FOR COOPERATIVE INSURANCE
(A SAUDI JOINT STOCK COMPANY)
UNAUDITED INTERIM CONDENSED CONSOLIDATED FINANCIAL STATEMENTS AND
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FOR THE THREE AND NINE MONTHS PERIOD ENDED SEPTEMBER 30, 2024

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**KPMG Professional Services**

Roshn Front, Airport Road
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Riyadh 11663
Kingdom of Saudi Arabia
Commercial Registration No 1010425494

Headquarters in Riyadh

**PKF Al Bassam**

Chartered Accountants

As Sulimaniyah – Prince Abdulaziz Ibn Musaid Street
P. O. Box 69658
Riyadh 11557
Kingdom of Saudi Arabia
Commercial Registration No 1010385804

INDEPENDENT AUDITORS' REPORT ON REVIEW OF INTERIM CONDENSED CONSOLIDATED FINANCIAL STATEMENTS

TO THE SHAREHOLDERS' OF THE COMPANY FOR COOPERATIVE INSURANCE (A SAUDI JOINT STOCK COMPANY)

INTRODUCTION

We have reviewed the accompanying interim condensed consolidated statement of financial position of The Company for Cooperative Insurance ("the Company") and its subsidiaries ("the Group") as at September 30, 2024, the interim condensed consolidated statement of income, interim condensed consolidated statement of comprehensive income for the three and nine months period then ended, and interim condensed consolidated statement of changes in equity and interim condensed consolidated statement of cash flows for the nine months period then ended, and notes to the interim condensed consolidated financial statements (collectively referred to as the "interim condensed consolidated financial statements"). Management is responsible for the preparation and presentation of these interim condensed consolidated financial statements in accordance with IAS 34, 'Interim Financial Reporting' that is endorsed in the Kingdom of Saudi Arabia. Our responsibility is to express a conclusion on these interim condensed consolidated financial statements based on our review.

SCOPE OF REVIEW

We conducted our review in accordance with International Standard on Review Engagements 2410, "Review of Interim Financial Information Performed by the Independent Auditor of the Entity" that is endorsed in the Kingdom of Saudi Arabia. A review of interim financial statements consists of making inquiries, primarily of persons responsible for financial and accounting matters, and applying analytical and other review procedures. A review is substantially less in scope than an audit conducted in accordance with International Standards on Auditing that are endorsed in the Kingdom of Saudi Arabia and consequently does not enable us to obtain assurance that we would become aware of all significant matters that might be identified in an audit. Accordingly, we do not express an audit opinion.

CONCLUSION

Based on our review, nothing has come to our attention that causes us to believe that the accompanying interim condensed consolidated financial statements as at and for the period ended 30 September 2024 of The Company for Cooperative Insurance and its subsidiaries are not prepared, in all material respects, in accordance with IAS 34, 'Interim Financial Reporting' that is endorsed in the Kingdom of Saudi Arabia.

KPMG Professional Services

P.O. Box 92876
Riyadh 11663
Kingdom of Saudi Arabia

Khalil Ibrahim Al Sedais
Certified Public Accountant
Registration No. 371

Riyadh on 6 November 2024
Corresponding to: 4 Jumada I 1446H

For PKF Al Bassam Chartered Accountants

P. O. Box 69658
Riyadh 11557
Kingdom of Saudi Arabia

Ibrahim A. Al-Bassam
Certified Public Accountant
Registration No. 337



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THE COMPANY FOR COOPERATIVE INSURANCE
(A SAUDI JOINT STOCK COMPANY)
INTERIM CONDENSED CONSOLIDATED STATEMENT OF FINANCIAL POSITION
AS AT SEPTEMBER 30, 2024

		September 30, 2024 (Unaudited)	December 31, 2023 (Audited)
	Notes	SAR'000	
<u>ASSETS</u>			
Cash and cash equivalents	4	2,073,611	2,081,707
Term deposits	5	8,559,766	7,368,373
Investments including accrued investment income	6	1,824,423	1,019,969
Receivable from brokers / agents	7	3,397,990	2,893,877
Reinsurance contract assets	8	3,171,872	3,534,941
Prepaid expenses and other assets		1,172,417	792,181
Investments in equity accounted investments		118,305	116,653
Investment properties	9	-	134,310
Intangible assets		54,263	10,027
Property, equipment, and right-of-use assets		369,572	310,858
Accrued income on statutory deposit		13,020	3,853
Statutory deposit	10	149,977	149,977
<u>TOTAL ASSETS</u>		20,905,216	18,416,726
<u>LIABILITIES</u>			
Accrued expenses and other liabilities		1,051,500	858,365
Zakat payable	11	431,413	359,844
Dividends payable		10,343	8,751
Insurance contract liabilities	8	14,953,601	13,436,157
Accrued income payable on statutory deposit		13,020	3,853
Defined benefits obligation		146,156	127,939
<u>TOTAL LIABILITIES</u>		16,606,033	14,794,909
<u>EQUITY</u>			
Share capital	12	1,500,000	1,500,000
Statutory reserve	13	1,373,285	1,373,285
Treasury shares	14	(1,793)	-
Retained earnings		1,420,145	741,242
Re-measurement of defined benefit obligations		(13,199)	(13,199)
Fair value reserve for investments		20,745	20,489
<u>TOTAL EQUITY</u>		4,299,183	3,621,817
<u>TOTAL LIABILITIES AND EQUITY</u>		20,905,216	18,416,726

CONTINGENCIES AND COMMITMENTS

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Abdulaziz M. AlSedeas
Board Director



Mater S. Alenazi
Chief Financial Officer

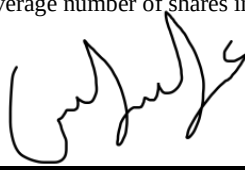


Othman Y. Alkassabi
Chief Executive Officer

The accompanying notes 1 to 25 form an integral part of these interim condensed consolidated financial statements.

THE COMPANY FOR COOPERATIVE INSURANCE
(A SAUDI JOINT STOCK COMPANY)
INTERIM CONDENSED CONSOLIDATED STATEMENT OF INCOME
FOR THE THREE AND NINE MONTHS PERIOD ENDED SEPTEMBER 30, 2024

	Notes	Three months period ended September 30, 2024 (Unaudited)	Three months period ended September 30, 2023 (Unaudited)	Nine months period ended September 30, 2024 (Unaudited)	Nine months period ended September 30, 2023 (Unaudited)
SAR'000					
Insurance revenue		4,696,243	3,960,790	13,494,432	11,065,473
Insurance service expenses	15	(3,937,885)	(3,527,641)	(11,506,972)	(10,691,332)
Insurance service result before reinsurance contracts held		758,358	433,149	1,987,460	374,141
Allocation of reinsurance premiums		(584,723)	(452,523)	(1,613,837)	(1,402,918)
Amounts recoverable from reinsurers for incurred claims		36,500	165,412	518,636	1,744,893
Net (expenses) / income from reinsurance contracts held	16	(548,223)	(287,111)	(1,095,201)	341,975
Insurance service result		210,135	146,038	892,259	716,116
Commission income		158,797	110,290	436,497	316,437
Dividend income		131	2,393	1,426	2,393
Net fair value gains / (losses) on financial assets at fair value through profit or loss		2,672	12,828	35,374	(36,849)
Share of profit from equity accounted investments, net		5,170	5,419	19,102	22,076
Investment return		166,770	130,930	492,399	304,057
Reversal of / (allowance for) expected credit losses on financial assets		29,682	91,614	(102,669)	(147,974)
Finance expense from insurance contracts issued		(105,081)	(95,201)	(150,638)	(120,954)
Finance income from reinsurance contracts held		55,499	53,133	97,715	61,563
Net insurance finance expense		(49,582)	(42,068)	(52,923)	(59,391)
Net insurance financial result		357,005	326,514	1,229,066	812,808
Other operating expenses		(160,276)	(107,926)	(357,932)	(247,223)
Other income, net		28,651	11,293	76,023	41,506
Net profit for the period before Zakat		225,380	229,881	947,157	607,091
Zakat charge for the period		(27,823)	(23,591)	(93,095)	(80,482)
Net profit for the period after Zakat		197,557	206,290	854,062	526,609
Basic and diluted earnings per share (in SAR)	18	1.32	1.38	5.70	3.51
Weighted average number of shares in issue		149,951,708	150,000,000	149,951,708	150,000,000


Abdulaziz M. AlSedeas
Board Director


Mater S. Alenazi
Chief Financial Officer


Othman Y. Alkassabi
Chief Executive Officer

The accompanying notes 1 to 25 form an integral part of these interim condensed consolidated financial statements.

THE COMPANY FOR COOPERATIVE INSURANCE
(A SAUDI JOINT STOCK COMPANY)
INTERIM CONDENSED CONSOLIDATED STATEMENT OF COMPREHENSIVE INCOME
FOR THE THREE AND NINE MONTHS PERIOD ENDED SEPTEMBER 30, 2024

	Three months ended September 30, 2024 (Unaudited)	Three months ended September 30, 2023 (Unaudited)	Nine months ended September 30, 2024 (Unaudited)	Nine months ended September 30, 2023 (Unaudited)
	SAR'000			
Net profit for the period after Zakat	197,557	206,290	854,062	526,609
Other comprehensive income				
<u>Items that will not be reclassified to consolidated statement of income subsequently:</u>				
Net movement in fair value of investments - carried at FVOCI	-	(440)	410	3,547
<u>Items that are or may be reclassified to consolidated statement of income subsequently:</u>				
Share of other comprehensive loss of investment in equity accounted investments	-	(230)	(154)	(3,172)
Total comprehensive income for the period	197,557	205,620	854,318	526,984



Abdulaziz M. AlSedeas
Board Director



Mater S. Alenazi
Chief Financial Officer



Othman Y. Alkassabi
Chief Executive Officer

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THE COMPANY FOR COOPERATIVE INSURANCE
(A SAUDI JOINT STOCK COMPANY)
INTERIM CONDENSED CONSOLIDATED STATEMENT OF CHANGES IN EQUITY
FOR THE NINE MONTHS PERIOD ENDED SEPTEMBER 30, 2024

	Share capital	Statutory reserve	Remeasurement of defined benefit obligation	Fair value reserve for investments	Treasury shares reserve	Retained earnings	Total
	SAR'000						
Balance as at January 1, 2023	1,250,000	1,250,000	(7,674)	23,986	-	635,277	3,151,589
Net profit for the period after Zakat	-	-	-	-	-	526,609	526,609
Other comprehensive income for the period	-	-	-	375	-	-	375
Total comprehensive income for the period – unaudited	-	-	-	375	-	526,609	526,984
Dividends	-	-	-	-	-	(125,000)	(125,000)
Issuance of bonus shared	250,000					(250,000)	-
Balance at September 30, 2023 – <i>unaudited</i>	1,500,000	1,250,000	(7,674)	24,361	-	786,886	3,553,573
Balance as at January 1, 2024	1,500,000	1,373,285	(13,199)	20,489	-	741,242	3,621,817
Net profit for the period after Zakat	-	-	-	-	-	854,062	854,062
Other comprehensive income for the period	-	-	-	256	-	-	256
Total comprehensive income for the period - unaudited	-	-	-	256	-	854,062	854,318
Buy-back of treasury shares (<i>note 14</i>)	-	-	-	-	(1,793)	-	(1,793)
Loss on buy-back of treasury shares (<i>note 14</i>)	-	-	-	-	-	(25,159)	(25,159)
Dividends (<i>note 12</i>)	-	-	-	-	-	(150,000)	(150,000)
Balance at September 30, 2024 – <i>unaudited</i>	1,500,000	1,373,285	(13,199)	20,745	(1,793)	1,420,145	4,299,183



Abdulaziz M. AlSedeas
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THE COMPANY FOR COOPERATIVE INSURANCE
(A SAUDI JOINT STOCK COMPANY)
INTERIM CONDENSED CONSOLIDATED STATEMENT OF CASH FLOWS
FOR THE NINE MONTHS PERIOD ENDED SEPTEMBER 30, 2024

		Nine months ended September 30, 2024 (Unaudited)	Nine months ended September 30, 2023 (Unaudited)
Notes		SAR'000	
Operating activities:			
		947,157	607,091
<u>Adjustments for non-cash items:</u>			
		17,957	19,155
		4,285	12,043
		(19,102)	(22,076)
		(436,497)	(316,437)
		(1,426)	(2,393)
		(36,235)	-
		102,669	147,974
		(35,374)	36,849
		215	546
		27,844	25,126
		571,493	507,878
<u>Changes in operating assets and liabilities:</u>			
		(606,782)	(475,444)
		363,069	(1,313,867)
		(380,236)	(256,027)
		192,920	287,360
		1,517,444	2,512,666
		1,657,908	1,262,566
	11	(21,526)	(13,706)
		(9,627)	(24,034)
		1,626,755	1,224,826
Investing activities:			
		-	(25,000)
	9	170,119	-
		-	232,975
		(768,949)	(258,857)
	5	9,444,104	7,609,157
	5	(10,564,959)	(7,992,093)
		365,959	264,336
		1,295	-
		17,706	17,403
		(76,245)	(6,203)
		(48,521)	(9,353)
		(1,459,491)	(167,635)
Financing activities:			
	14	(26,952)	-
		(148,408)	(125,129)
		(175,360)	(125,129)
Net change in cash and cash equivalents during the period			
		(8,096)	932,062
Cash and cash equivalents, beginning of the period			
		2,081,707	1,659,193
Cash and cash equivalents, end of the period			
		2,073,611	2,591,255
Non-cash supplemental information:			
		(154)	(3,172)
		-	83,038

Abdulaziz M. AlSedeas
Board Director

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Othman Y. Alkassabi
Chief Executive Officer

The accompanying notes 1 to 25 form an integral part of these interim condensed consolidated financial statements.

THE COMPANY FOR COOPERATIVE INSURANCE

(A SAUDI JOINT STOCK COMPANY)

NOTES TO THE INTERIM CONDENSED CONSOLIDATED FINANCIAL STATEMENTS (UNAUDITED) FOR THE THREE AND NINE MONTHS PERIOD ENDED SEPTEMBER 30, 2024

1. GENERAL

The Company for Cooperative Insurance (the “Company”) is a Saudi joint stock Company established in Riyadh, Kingdom of Saudi Arabia by Royal Decree Number M/5 and incorporated on January 18, 1986 corresponding to Jumada Al-Awal 8, 1406H under Commercial Registration No. 1010061695. The Company’s head office is located on Thumamah Road (At Takhassusi) ArRabi District, P.O. Box 86959, Riyadh 11632, Kingdom of Saudi Arabia.

The purpose of the Company is to transact cooperative insurance operations and all related activities including reinsurance and agency activities. Its principal lines of business include medical, motor, marine, fire, engineering, energy, aviation, takaful and property and casualty insurance.

On July 31, 2003, corresponding to Jumada Thani 2, 1424H the Law on the Supervision of Cooperative Insurance Companies (“Insurance Law”) was promulgated by Royal Decree Number (M/32). On December 1, 2004 corresponding to Shawwal 18, 1425H, the Insurance Authority (formerly Saudi Central Bank “SAMA”) as the principal authority responsible for the application and administration of the Insurance Law and its implementing regulations, granted the Company a license to transact insurance activities in Saudi Arabia. During the year ended December 31, 2023, the Insurance Authority has been established by a royal decree as the insurance regulator. Previously issued regulations by SAMA will be upheld until the Insurance Authority issued updated regulations.

The Company conducts the business and advances funds to the insurance operations as required. On January 20, 2004 the Company amended its Articles of Association giving authority to the Board of Directors to determine the disposition of the surplus from insurance operations. On March 20, 2004, the Board of Directors approved the distribution of the surplus from insurance operations in accordance with the Implementing Regulations issued by Insurance Authority, whereby the shareholders of the Company are to receive 90% of the annual surplus from insurance operations and the policyholders are to receive the remaining 10%. Any deficit arising on insurance operations is transferred to the shareholders’ operations in full.

The Company has the following subsidiaries and associates.

<i>Name of the Subsidiary / Associate</i>	<i>Registration No.</i>	<i>Registration date</i>	<i>Ownership interest</i>	<i>Financial year end</i>	<i>Principal Activities</i>
<i>Subsidiary</i>					
Teejan Al- Khaleej	1010644057	21 July 2020	100%	December 31	Developing technology based solutions and extending consultancy services for the insurance and healthcare businesses.
Tree Digital Company	1010816901	04 August 2022	100%	December 31	Introducing innovative products and services with an end-to-end digital journey to drive insurance penetration in the Kingdom of Saudi Arabia (e.g. convenience of choice, behaviour change based products, rewards program), while building an ecosystem of partnerships to fulfil growing customer needs and provide a differentiating proposition versus local and regional competitors.
<i>Meena healthcare Company</i>	1010887256	08 June 2023	100%	December 31	Extending health care services for Medical line of business.
<i>Associates</i>					
United Insurance Company B.S.C.	17337-1	12 May 1986	50%	December 31	Insurance for all motor vehicles which travel through the King Fahad Causeway in accordance with the Bahrain Insurance Company Law.
Waseel Application Service Provider Limited	1010186558	15 April 2003	45%	December 31	Internet based connectivity, information services, and B2B e-commerce capabilities for the healthcare insurance market.

These interim condensed consolidated financial statements comprise the Company and its subsidiaries (together referred to as the ‘Group’).

THE COMPANY FOR COOPERATIVE INSURANCE

(A SAUDI JOINT STOCK COMPANY)

NOTES TO THE INTERIM CONDENSED CONSOLIDATED FINANCIAL STATEMENTS (UNAUDITED)

(continued)

FOR THE THREE AND NINE MONTHS PERIOD ENDED SEPTEMBER 30, 2024

2. BASIS OF PREPARATION

2.1 Statement of compliance

The interim condensed consolidated financial statements of the Group as at and for the period ended September 30, 2024 have been prepared in accordance with International Accounting Standard 34 - "Interim Financial Reporting" ("IAS 34") that are endorsed in the Kingdom of Saudi Arabia and other standards and pronouncements issued by the Saudi Organization for Chartered and Professional Accountants ("SOCPA") and in compliance with Regulations for Companies in the Kingdom of Saudi Arabia and By-Laws of the Company.

The Group's interim condensed consolidated statement of financial position is not presented using a current / non-current classification. However, the following balances would generally be classified as non-current: statutory deposit, accrued income on statutory deposit, Property, equipment and right-of-use assets, net, intangible assets, investment properties, investments in equity accounted investments, return payable on statutory deposit, defined benefits obligation and those balances of insurance contracts liabilities and reinsurance contract assets that would not settle within next twelve months. All other financial statement line items would generally be classified as current.

The Group presents its interim condensed consolidated statement of financial position in order of liquidity (starting from most liquid).

2.2 Basis of measurement

These interim condensed consolidated financial statements are prepared under the historical cost convention, except for the measurement of investments carried at fair value through profit or loss (FVPL) and investments carried at fair value through other comprehensive income (FVOCI), investment in equity accounted investments which is accounted for under the equity method, defined benefits obligation recorded at the present value using the projected unit credit method and liability of incurred claims (LIC) and assets for incurred claims (AIC) recorded at the present value at the current discount rates.

Functional & presentation currency

These interim condensed consolidated financial statements have been presented in Saudi Arabian Riyals (SAR), which is also the functional currency of the Group. All financial information presented in Saudi Arabian Riyal has been rounded to the nearest thousands, except where otherwise indicated.

Seasonality of operations

Other than normal seasonality in Medical & Motor Insurance Business in the Kingdom of Saudi Arabia, there are no seasonal changes that may affect insurance operations of the Company.

2.3 Basis of consolidation

The interim condensed consolidated financial statements comprise the financial statements of the Company and its subsidiaries. The financial statements of the subsidiaries are prepared for the same reporting year as that of the Company, using consistent accounting policies.

Subsidiaries

Subsidiaries are entities controlled by the Group. The Group controls an entity when it is exposed to, or has rights to, variable returns from its involvement with the entity and has the ability to affect those returns through its power over the investee. Specifically, the Group controls an investee if, and only if, the Group has:

- Power over the investee (i.e. existing rights that give it the current ability to direct the relevant activities of the investee);
- Exposure, or rights, to variable returns from its involvement with the investee, and;
- The Group's voting rights and potential voting rights.

The financial statements of subsidiaries are included in the interim condensed consolidated financial statements of the Group from the date of acquisition or incorporation, being the date on which the Group obtains control, and continue to be consolidated until the date when such control ceases. The financial statements of the subsidiaries are prepared for the same reporting period as the Company, using consistent accounting policies.

THE COMPANY FOR COOPERATIVE INSURANCE

(A SAUDI JOINT STOCK COMPANY)

NOTES TO THE INTERIM CONDENSED CONSOLIDATED FINANCIAL STATEMENTS (UNAUDITED)

(continued)

FOR THE THREE AND NINE MONTHS PERIOD ENDED SEPTEMBER 30, 2024

2. BASIS OF PREPARATION (continued)

2.3 Basis of consolidation (continued)

Generally, there is a presumption that a majority of voting rights result in control. To support this presumption and when the Group has less than a majority of the voting or similar rights of an investee, the Group considers all relevant facts and circumstances in assessing whether it has power over an investee, including:

- The contractual arrangement(s) with the other vote holders of the investee;
- Rights arising from other contractual arrangements;
- The Group's voting rights and potential voting rights.

The Group re-assesses whether or not it controls an investee if facts and circumstances indicate that there are changes to one or more of the three elements of control. Consolidation of a subsidiary begins when the Group obtains control over the subsidiary and ceases when the Group loses control of the subsidiary. Assets, liabilities, income and expenses of a subsidiary acquired or disposed of during the period are included in the interim condensed consolidated financial statements from the date the Group gains control until the date the Group ceases to control the subsidiary.

Profit or loss and each component of other comprehensive income (OCI) are attributed to the equity holders of the parent of the Group and to the non-controlling interests, even if this results in the non-controlling interests having a deficit balance.

Non-controlling interests (NCI)

NCI are measured at their proportionate share of the acquiree's identifiable net assets at the date of acquisition.

Loss of control

When the Group loses control over a subsidiary, it derecognises the assets and liabilities of the subsidiary, and any related NCI and other components of equity. Any resulting gain or loss is recognised in the consolidated statement of income. Any interest retained in the former subsidiary is measured at fair value when control is lost. A change in ownership interest of a subsidiary, without a loss of control, is accounted for as an equity transaction.

Transactions eliminated on consolidation

Intra-group balances and transactions, and any unrealized income and expenses and cash flows relating to transactions arising from intra group transactions, are eliminated. Unrealized losses are eliminated in the same way as unrealized gains, but only to the extent that there is no evidence of impairment.

2.4 Critical accounting judgments, estimates and assumptions

The key assumptions concerning the future and other key sources of estimation uncertainty at the reporting date, that have a significant risk of causing a material adjustment to the carrying amounts of assets and liabilities within the next financial year are discussed below. The Company based its assumptions and estimates on parameters available when the interim condensed consolidated financial statements were prepared. Existing circumstances and assumptions about future developments, however, may change due to market changes or circumstances arising that are beyond the control of the Company. Such changes are reflected in the assumptions when they occur.

Estimates and judgments are continually evaluated and based on historical experience and other factors, including expectations of future events that are believed to be reasonable under the circumstances. Revisions to estimates are recognised prospectively.

In preparing these interim condensed consolidated financial statements, the significant judgement made by the management in applying the Group's accounting policies and the key sources of estimation uncertainty was the same as those that applies to the consolidated financial statements as of and for the year ended December 31, 2023.

Following are the accounting judgments and estimates that are critical in preparation of these interim condensed consolidated financial statements:

a) PAA eligibility assessment

The Group has calculated a Liability for remaining coverage (LRC) and Asset for remaining coverage (ARC) for those groups of insurance contracts written and reinsurance contracts held respectively where the coverage period was more than one year. The calculation was performed under both simplified approach i.e. Premium Allocation Approach (PAA) and General Measurement Model (GMM). Situations, which may cause the LRC and / or ARC under the PAA to differ from the LRC and / or ARC under the GMM:

THE COMPANY FOR COOPERATIVE INSURANCE
(A SAUDI JOINT STOCK COMPANY)
NOTES TO THE INTERIM CONDENSED CONSOLIDATED FINANCIAL STATEMENTS (UNAUDITED)
(continued)
FOR THE THREE AND NINE MONTHS PERIOD ENDED SEPTEMBER 30, 2024

2. BASIS OF PREPARATION (continued)

2.4 Critical accounting judgments, estimates and assumptions (continued)

a) PAA eligibility assessment (continued)

- When the expectation of the profitability for the remaining coverage changes at a particular valuation date during the coverage period of a group of contracts;
- If yield curves change significantly from those in place at the group's initial recognition;
- When the incidence of claims occurrence differs from the coverage units; and
- The effect of discounting under the GMM creates an inherent difference; this difference compounds over longer contract durations.

Upon analysis of the possible differences between LRC and / or ARC applying the PAA and GMM approach, respectively, the Group did not note any material difference for contracts with coverage period of more than one year. Hence, it has opted to report all such contracts using the PAA approach maintaining a consistent accounting treatment to the rest of the portfolio of insurance contracts issued and reinsurance contracts held that have a coverage period of up to one year. The Group assesses materiality at each respective group of contracts level (GoCs) and at an aggregate insurance contract liabilities / re-insurance contract assets level using pre-determined quantitative threshold for differences at the GoCs.

During the period, the Group has written individual life policies which are investments and savings products as well as those which covers protection risks (collectively referred as "individual life business"). These are accounted for under PAA as the individual life business is not material to these interim condensed financial statements.

b) Insurance acquisition cash flows

Commissions and other acquisition related expenses are deferred and amortized over the term of the insurance contracts to which these relate, similar to premiums earned. The Group uses a systematic and rational method to allocate such expenses. Insurance acquisition cash flows that are directly attributable to a group of insurance contracts are allocated:

- to that group; and
- to groups that include insurance contracts that are expected to arise from the renewals of the insurance contracts in that group.

c) Expense attribution

The Group identifies expenses which are directly attributable towards acquiring insurance contracts (acquisition costs) and fulfilling / maintaining (other attributable expenses) such contracts and those expenses which are not directly attributable to the aforementioned contracts (non-attributable expenses). Acquisition costs, such as underwriting costs including other expenses except for initial commission paid, are no longer recognized in the consolidated statement of income when incurred and instead spread over the lifetime of the group of contracts based on the passage of time.

Other attributable expenses are allocated to the groups of contracts using an allocation mechanism considering the activity-based costing principles. The Group has determined costs directly identified to the groups of contracts, as well as, costs where a judgement is applied to determine the share of expenses as applicable to that group.

On the other hand, non-directly attributable expenses, overheads and one-off exceptional expenses is recognized in the interim condensed consolidated statement of income immediately when incurred. The proportion of directly attributable and non-attributable costs at inception will change the pattern at which expenses are recognized.

d) Discounting methodology

Insurance contract liabilities and Reinsurance contracts assets are calculated by discounting expected future cash flows at a discount rate that reflects the characteristics of the cash flows and the liquidity characteristics of the insurance contracts. The Group applied a bottom-up approach to derive the applicable yield curve when determining the discount rate, where the curve is based on the European Insurance and Occupational Pensions Authority (EIOPA) volatility adjusted risk-free curve denominated in United States Dollars while applying certain adjustments for factors under IFRS 17.

Discount rates applied for discounting of future cash flows are listed below:

Risk free rates

Evaluation date	1 Year	2 Year	3 Year	4 Year	5 Year
30 September 2024	5.27%	4.83%	4.69%	4.64%	4.63%
31 December 2023	6.30%	5.56%	5.21%	5.05%	4.97%
30 September 2023	7.11%	6.49%	6.04%	5.73%	5.54%

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(continued)

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2. BASIS OF PREPARATION (continued)

2.4 Critical accounting judgments, estimates and assumptions (continued)

e) Risk adjustment methodology, including correlations, and confidence level selected

The risk adjustment for non-financial risk is the compensation that the Group requires for bearing the uncertainty about the amount and timing of the cash flows of groups of insurance contracts. The risk adjustment reflects an amount that an insurer would rationally pay to remove the uncertainty that future cash flows will exceed the expected value of claims.

The Group has estimated the risk adjustment using a confidence level (probability of sufficiency) approach at the 75th percentile. That is, the Group has assessed its indifference to uncertainty for all product lines, as an indication of the compensation that it requires for bearing non-financial risk) as being equivalent to the 75th percentile confidence level less the mean of an estimated probability distribution of the future cash flows.

The Company has appointed a qualified actuary who supports in reviewing and providing recommendation with regards to the expected ultimate claims and the associated claims reserves. The Company booked reserves following the recommendation of the appointed actuary who is currently external and independent from the Company. A range of methods were used by the appointed actuary to determine these claims. From the diverse methods available to estimate the volatility of future cash flows and, thus, the applicable confidence interval for each line of business, the Group relied on the following three methods depending on the nature of each portfolio:

- Mack Model
- Bootstrap – over dispersed Poisson model
- Stochastic Bornhuetter-Ferguson

f) Liability for incurred claims

The estimation of the ultimate liability arising from claims made under insurance contracts is the Company's most critical accounting estimate given the level of subjectivity inherent in estimating the impact of claim events that have occurred and incurred but not reported for which the ultimate outcome remains uncertain. There are several sources of uncertainty that need to be considered in the estimate of the liability that the Company will ultimately pay for such claims. Estimates are made at the end of the reporting period both for the expected ultimate cost of claim reported and for the expected ultimate costs of claims incurred but not reported. Both of these estimates are recorded under the liability for incurred claims ("LIC"). Moreover, the Company includes claims payable and advance payment made to or on behalf of policyholders under LIC.

Events not in data ("ENID") represents an additional amount that needs to be included in the best estimate claim liability to ensure that the best estimate is a true best estimate of all possible outcomes. The methodology used by the Group to derive the ENID is based on Lloyd's Technical Provisions Guidance issued in March 2011, which suggests several approaches to allow for Binary events / Events Not in Data. In this guidance, Lloyd's details an approach that offers uplifting reserve best estimates to allow for a limited range of historical (observable) data. This approach is also called the Truncated Statistical Distribution approach and defines the uplift factor of reserve best estimate as: "the ratio of the 'true mean' to the 'mean only including realistically foreseeable events'". The distribution is adjusted to add to the tail and a new mean is estimated from the new distribution which represents a "true" distribution of claims. The ENID uplift factor applied to the claims is then the ratio of the new mean to the old mean.

Liabilities for unpaid reported claims are estimated using the input of assessments for individual cases reported to the Company. At the end of each reporting period, prior year claims estimates are reassessed for adequacy and changes are made to the provision.

The Company has appointed a qualified actuary who supports in reviewing and providing recommendation with regards to the expected ultimate claims and the associated claims reserves. The Company booked reserves following the recommendation of the appointed actuary who is currently external and independent from the Company. A range of methods were used by the appointed actuary to determine these claims. A range of methods such as Chain Ladder Method, Bornhuetter-Ferguson Method and Expected Loss Ratio Method are used by the actuaries to determine these provisions. The actuary had also used a segmentation approach including analysing cost per member per year for medical line of business. Underlying these methods are a number of explicit or implicit assumptions relating to the expected settlement amount and settlement patterns of claims.

g) Liability for remaining coverage

i. Significant financing component

The Group has assessed its Liability for Remaining Coverage (LRC) and Assets for remaining coverage (ARC) and concluded that no significant financing component exists within LRC and ARC respectively. Therefore, the Group has not adjusted the carrying amount of the LRC and ARC to reflect the time value of money and the effect of financial risk using the discount rates.

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2. BASIS OF PREPARATION (continued)

2.4 Critical accounting judgments, estimates and assumptions (continued)

ii. Onerosity determination

The profitability of groups of insurance contracts is assessed by actuarial valuation models that take into consideration existing and new business. Profitability is measured through the expected risk-adjusted combined ratio (including premiums, expenses, discounted risk adjusted claims and an allowance for ENID). The expected risk adjusted combined ratio approximates the fulfilment cash flows as defined in IFRS 17. The Group assumes that no contracts in the portfolio are onerous at initial recognition unless facts and circumstances indicate otherwise. The Group also considers facts and circumstances to identify whether a group of contracts are onerous based on the following key inputs:

- Pricing information: Underwriting combined ratios and price adequacy ratio. This input is most relevant for the Medical insurance portfolio;
- Historical combined ratio of similar and comparable sets of contracts for Motor and P&C portfolios in particular;
- Any relevant inputs from underwriters;
- Other external factors such as inflation and change in market claims experience or change in regulations; and
- For subsequent measurement, the Group also relies on the same group of contracts' weighted actual emerging experience.

The actuarial profitability valuation and results are then discussed with the Profitability Assessment Committee (the "Committee") which is chaired by Group's CFO and includes other relevant stakeholders as members. The objective of the Committee is to formulate management's view of the profitability of new and in-force contracts. The Committee, based on aforementioned inputs, classifies all new contracts into either onerous or profitable and produce the estimated combined loss ratio. For existing contracts, the Committee also produces a view of the combined ratio for such contracts. The expected combined loss ratio is then fed into the loss component calculation.

Any loss-recovery component is determined with reference to the loss component recognised on underlying contracts and the recovery expected on such claims from reinsurance contracts held, if any.

iii. Expected premium receipts adjustment

Insurance revenue will be adjusted with the amounts of expected premium receipts adjustment calculated on premiums not yet collected as at date of the statement of financial position. The computation is performed using IFRS 9 simplified approach to calculate Expected Credit Loss (ECL) allowance. The corresponding impact of this adjustment is recorded to LRC.

h) Non-performance risk

The Group measures the estimates of the present value of future cash flows using assumptions that are consistent with those used to measure the estimates of the present value of future cash flows for the underlying insurance contracts, with an adjustment for any risk of non-performance by the reinsurer. The effect of the non-performance risk of the reinsurer is assessed at each reporting date and the effect of changes in the non-performance risk is recognized under Amounts recoverable from reinsurers for incurred claims in the consolidated statement of income. The computation is performed using IFRS 9 simplified approach to calculate ECL allowance.

i) Fair value of financial instruments

Fair values of financial instruments are based on quoted prices for marketable securities or estimated fair values. The fair value of commission-bearing items is estimated based on discounted cash flows using commission for items with similar terms and risk characteristics. The fair value of financial instruments where no active market exists or where quoted prices are not otherwise available are determined by using valuation techniques. In these cases the fair values are estimated from observable data in respect of similar financial instruments or using models. Where market observable inputs are not available, they are estimated based on appropriate assumptions. Where valuation techniques (for example, models) are used to determine fair values, they are validated and periodically reviewed. All models are calibrated to ensure that outputs reflect actual data and comparative market prices. To the extent practical, models use only observable data; however, areas such as credit risk (both own credit risk and counterparty risk), volatilities and correlations require management to make estimates. Refer fair value of financial instruments disclosure in note 20.

j) Impairment losses on financial assets

The measurement of impairment losses under IFRS 9 across relevant financial assets requires judgement, in particular, for the estimation of the amount and timing of future cash flows when determining impairment losses and the assessment of a significant increase in credit risk. These estimates are driven by the outcome of modelled Expected Credit Losses ("ECL") scenarios and the relevant inputs used.

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The liability for incurred claims is sensitive to the key assumptions in the table below. It has not been possible to quantify the sensitivity of certain assumptions such as legislative changes or uncertainty in the estimation process.

The following sensitivity analysis shows the impact on gross and net liabilities, profit before tax and equity for reasonably possible movements in key assumptions. The correlation of assumptions will have a significant effect in determining the ultimate impacts, but to demonstrate the impact due to changes in each assumption, assumptions have been changed on an individual basis. It should be noted that movements in these assumptions are non-linear.

September 30, 2024 (Unaudited)					
SAR '000					
	Changes in assumptions	Impact on profit before zakat gross of reinsurance	Impact on profit before zakat net of reinsurance	Impact on equity gross of reinsurance	Impact on equity net of reinsurance
Risk adjustment changes	+/-10%	63,080	27,313	63,080	27,313
Liability for incurred claims changes	+/-5%	334,239	201,756	334,239	201,756
Discounting impact changes	+/-50%	83,027	43,207	83,027	43,207
December 31, 2023 (Audited)					
SAR '000					
	Changes in assumptions	Impact on profit before zakat gross of reinsurance	Impact on profit before zakat net of reinsurance	Impact on equity gross of reinsurance	Impact on equity net of reinsurance
Risk adjustment changes	+/-10%	55,567	21,531	55,567	21,531
Liability for incurred claims changes	+/-5%	317,564	165,988	317,564	165,988
Discounting impact changes	+/-50%	96,970	40,441	96,970	40,441
September 30, 2023 (Unaudited)					
SAR '000					
	Changes in assumptions	Impact on profit before zakat gross of reinsurance	Impact on profit before zakat net of reinsurance	Impact on equity gross of reinsurance	Impact on equity net of reinsurance
Risk adjustment changes	+/-10%	75,269	24,809	75,269	24,809
Liability for incurred claims changes	+/-5%	343,416	178,522	343,416	178,522
Discounting impact changes	+/-50%	117,359	46,577	117,359	46,577

The sensitivities relating to risk adjustment on LIC, and impact of discounting have been disclosed in addition to overall LIC sensitivity. These above base LIC amounts is inclusive of risk adjustment and impact of discounting.

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The accounting policies used in the preparation of these interim condensed consolidated financial statements are consistent with those used in the preparation of the annual consolidated financial statements for the year ended December 31, 2023 except for the policy for treasury shares noted below:

New IFRS standards, IFRIC interpretations and amendments thereof, adopted by the Group:

<u>Standard, interpretation, amendments</u>	<u>Description</u>	<u>Effective date</u>
Amendments to IAS 1, 'Presentation of financial statements', on classification of liabilities as current or non-current	These narrow-scope amendments to IAS 1, 'Presentation of financial statements', clarify that liabilities are classified as either current or noncurrent, depending on the rights that exist at the end of the reporting period. Classification is unaffected by the expectations of the entity or events after the reporting date (for example, the receipt of a waiver or a breach of covenant). The amendment also clarifies what IAS 1 means when it refers to the 'settlement' of a liability.	Annual periods beginning on or after January 1, 2024
Lease Liability in a Sale and Leaseback – Amendments to IFRS 16	It requires a seller-lessee to subsequently measure lease liabilities arising from a leaseback in a way that it does not recognize any amount of the gain or loss that relates to the right of use it retains	Annual periods beginning on or after January 1, 2024
Amendments to IAS 7 & IFRS 7 Supplier Finance	These amendments require disclosures to enhance the transparency of supplier finance arrangements & their effects on a company's liabilities, cash flows and exposure to liquidity risk. The disclosure requirements are the IASB's response to investors' concern that some companies' supplier finance arrangement is not sufficiently visible, hindering investors analysis. No material impact is expected for the group.	Annual periods beginning on or after January 1, 2024 (with transitional reliefs in the first year)
IFRS S1 General Requirements for Disclosure of Sustainability-related Financial Information & IFRS S2 Climate-related Disclosures	Companies will need processes and controls in place so that they can provide sustainability-related information of the same quality, and at the same time, as their financial statements.	Annual periods beginning on or after January 1, 2024

The application of above standards does not have any impact on the interim condensed consolidated financial statements of the Group for the period ended 30 September 2024.

Standards issued but not yet effective

The Group has chosen not to early adopt the following new standards, which have been issued but not yet effective for the Group's accounting year beginning on or after January 1, 2024 and is currently assessing their impact:

<u>Standard, interpretation, amendments</u>	<u>Description</u>	<u>Effective date</u>
Amendments to IFRS 10 and IAS 28	Amendments to IFRS 10 consolidated financial statements and IAS 28 Investments in Associates and Joint Ventures—Sale or Contribution of Assets between an Investor and its Associate or Joint Venture	The effective date of the amendments has yet to be set by the IASB
Amendments to IAS 21 – Lack of Exchangeability	An entity is impacted by the amendments when it has a transaction or an operation in a foreign currency that is not exchangeable into another currency at a measurement date for a specific purpose. A currency is exchangeable when there is an ability to obtain the other currency (with a normal administrative delay) and the transaction would take place through a market or exchange mechanism that creates enforceable rights and obligations. No material impact is expected for the Group.	Annual periods beginning on or after January 1, 2025 (early adoption is available)
IFRS 9 Financial Instruments	Amendments to the Classification and Measurement of Financial Instruments – Amendments to IFRS 9 Financial Instruments and IFRS 7 Financial Instruments: Disclosures	Annual reporting periods beginning on or after January 1, 2026
IFRS 19 Subsidiaries without Public Accountability: Disclosures	IFRS 19 allows eligible subsidiaries to apply IFRS Accounting Standards with the reduced disclosure requirements of IFRS 19.	Annual reporting periods beginning on or after January 1, 2027
IFRS 18 – Presentation and disclosure in financial statements.	IFRS 18 includes requirements for all entities applying IFRS for the presentation and disclosure of information in financial statements.	

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When shares recognised as equity are repurchased, the amount of the consideration paid, which includes directly attributable costs, is recognised as a deduction from equity. Repurchased shares are classified as treasury shares and are presented in the treasury share reserve. Any excess of the consideration received on the sale of treasury shares over the weighted average cost of the shares sold is credited to retained earnings.

Interim reporting approach

The Group applies period to date (PTD) approach to calculate its results for the three and nine months period ended September 30, respectively. The key features of this application:

- Claims incurred during the six months period ended June 30, 2024 and prior are treated as “past service claims” for the three months period ended September 30, 2024. Similar methodology applied to the six months ended June 30, 2023. However, for nine months period ended September 30, 2024 the result for three months period ended June 30, 2024 are classified as “current claims service”.
- The adjustment arising due to difference in classification of past service cost and application of relevant discount rate is recorded as insurance finance income / expense in interim condensed consolidated statement of income for the nine month periods ended September 30, 2023 and 2024 respectively.

4. CASH AND CASH EQUIVALENTS

	September 30, 2024 (Unaudited)	December 31, 2023 (Audited)
	SAR'000	
Short term deposits (note 4.1)	668,370	750,000
Banks balances and cash (note 4.2)	1,399,592	1,324,129
Accrued income on short term deposits	5,816	7,745
	2,073,778	2,081,874
Expected credit loss allowance	(167)	(167)
Total cash and cash equivalents	2,073,611	2,081,707

4.1 The deposits are held with banks and financial institution registered with the Saudi Central Bank in the Kingdom of Saudi Arabia. These deposits are predominately in mudaraba structures. These deposits are denominated in Saudi riyals and have an original maturity of less than three months. The average yield on these deposits is 6.09 % (December 31, 2023: 6.04 %) per annum.

4.2 These balances include cash placed with custodian amounting to SAR 296 million (December 31, 2023: SAR 436 million).

4.3 Cash and cash equivalents are placed with counterparties with sound credit ratings of AA to BBB- (as per S&P and Fitch) and/or Aaa to Baa3 (as per Moody's).

5. TERM DEPOSITS

The deposits are held with banks and financial institution registered with Saudi Central Bank in the Kingdom of Saudi Arabia. These deposits are predominately in mudaraba structures. These deposits are denominated in Saudi riyals and have an original maturity of more than three months. The average yield on these deposits is 5.25 % (December 31, 2023: 6.25%) per annum.

The movements in deposits during the period / year is as follows:

	September 30, 2024 (Unaudited)	December 31, 2023 (Audited)	September 30, 2023 (Unaudited)
		SAR'000	
Balance at the beginning of the period / year	7,277,489	5,903,752	5,903,752
Placed during the period / year	10,564,959	13,696,959	7,915,005
Matured during the period / year	(9,444,104)	(12,323,222)	(7,532,069)
Balance at the end of the period / year	8,398,344	7,277,489	6,286,688
Accrued investment income	161,438	90,900	117,405
	8,559,782	7,368,389	6,404,093
Expected credit loss allowance	(16)	(16)	(13)
Total	8,559,766	7,368,373	6,404,080

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6. INVESTMENTS INCLUDING ACCRUED INVESTMENT INCOME

Investments including accrued investment income comprise the following:

	September 30, 2024 (Unaudited)	December 31, 2023 (Audited)
	SAR'000	
<u>Financial assets measured at FVPL* (note 6.1)</u>		
Mutual funds	754,550	349,506
Fixed income investments	249,326	276,284
Equity securities	555,420	262,687
Funds with portfolio manager	159,782	73,548
Accrued investment income	20,380	20,314
	1,739,458	982,339
<u>Debt Instruments measured at amortised cost</u>		
Sukuk	45,000	-
Accrued income	1,925	-
	46,925	
<u>Equity instrument measured at FVOCI</u>		
Unquoted private equities **	38,040	37,630
Total investments	1,824,423	1,019,969

- 6.1** As at September 30, 2024, the Group has invested in Shariah Notes having fair value amounting to SAR 1,739 million (December 31, 2023: SAR 982 million). The Shariah Notes are issued by a special purpose vehicle "SPV" established in Cayman Islands. The administrator of these Shariah Notes is a Company registered in Mauritius. The underlying investments of Shariah Notes include funds, discretionary portfolio management - equity shares and fixed income portfolios. The legal ownership of these underlying investments is not with the Group; however, the Group is the ultimate beneficial owner of the underlying investments while having control over the Shariah Notes but not over the underlying investments. The Shariah Notes are issued within a ring-fenced cell / structure and the underlying assets are ring-fenced as well for that structure managed by the SPV. The custody of the underlying investments is in the custody account of the SPV, or its nominee entity opened with fund and portfolio managers. The Group does not exercise any control over SPV and / or fund and portfolio managers.

* Financial Instruments measured at FVPL are those which are mandatorily classified as fair value through profit or loss.

** This represents investment in Najm for Insurance Services Companies, an unquoted private equity, which is designated at FVOCI.

7. RECEIVABLE FROM BROKERS / AGENTS

These comprise balances receivable from brokers / agents on account of sale of insurance policies by the broker on behalf of the Group.

	September 30, 2024 (Unaudited)	December 31, 2023 (Audited)
	SAR'000	
Receivable from brokers / agents	3,683,301	3,076,518
Less: expected credit loss allowance	(285,311)	(182,641)
	3,397,990	2,893,877

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8. INSURANCE AND REINSURANCE CONTRACTS

The breakdown of groups of insurance and reinsurance contracts issued, and reinsurance contracts held, that are in an asset position and those in a liability position is set out in the table below:

	September 30, 2024		December 31, 2023	
	(Unaudited)		(Audited)	
	SAR'000			
	Assets	Liabilities	Assets	Liabilities
Insurance contracts issued				
Medical	-	7,409,704	-	5,746,264
Medical - Umrah	-	328,568	-	345,748
Motor	-	1,890,868	-	2,145,087
Property & Casualty	-	4,595,176	-	4,422,970
General accidents - Hajj & Umrah	-	652,458	-	656,315
Travel & COVID-19	-	76,335	-	76,335
Protection and Savings	-	492	-	43,438
Total insurance contracts issued	-	14,953,601	-	13,436,157
Reinsurance contracts held				
Medical	(283,273)	-	(87,468)	-
Medical - Umrah	-	-	-	-
Motor	(10,248)	-	(13,167)	-
Property & Casualty	(2,700,955)	-	(3,293,992)	-
General accidents - Hajj & Umrah	(131,957)	-	(102,332)	-
Travel & COVID-19	(1,822)	-	(1,718)	-
Protection and Savings	(43,617)	-	(36,264)	-
Total reinsurance contracts held	(3,171,872)	-	(3,534,941)	-

Movements in insurance and reinsurance contract balances

The Group disaggregates information to provide disclosure in respect of major product lines separately: Medical, Medical - Umrah, Motor, Property and Casualty, General accidents - Hajj & Umrah, Travel & COVID-19 and Protection and Savings. The following reconciliations show how the net carrying amounts of insurance and reinsurance contracts in each segment changed during the period / year as a result of cash flows and amounts recognised in the interim condensed consolidated statement of income. For each segment, the Group presents a table that separately analyses movements in the liabilities for remaining coverage and movements in the liabilities for incurred claims and reconciles these movements to the line items in the interim condensed consolidated statement of income and interim condensed consolidated statement of financial position for the period and as at September 30, 2024.

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(continued)

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8. INSURANCE AND REINSURANCE CONTRACTS (continued)

8.1.1 Roll-forward of net asset or liability for insurance contracts issued showing the liability for remaining coverage and the liability for incurred claims

a. Medical

	Liabilities for remaining coverage		Liabilities for incurred claims		Total
	Excluding loss component	Loss component	Estimates of the present value of future cash flows	Risk Adjustment	
	SAR '000				
September 30, 2024 (unaudited)					
Net opening balance – January 1, 2024	2,874,407	133,938	2,564,205	173,714	5,746,264
Changes in the consolidated statement of income					
Insurance revenue	9,502,853	-	-	-	9,502,853
Insurance service expenses					
Incurred claims and other directly attributable expenses	-	-	8,371,351	186,510	8,557,861
Changes that relate to past service - changes in fulfilment cash flows ("FCF") relating to LIC	-	-	(336,755)	(132,980)	(469,735)
Losses on onerous contracts and reversal of those losses	-	(90,347)	-	-	(90,347)
Insurance acquisition cash flows amortisation	829,048	-	-	-	829,048
	829,048	(90,347)	8,034,596	53,530	8,826,827
Insurance service result	8,673,805	90,347	(8,034,596)	(53,530)	676,026
Net finance expenses from insurance contracts	-	-	(39,803)	(3,752)	(43,555)
Total changes in the consolidated statement of income	8,673,805	90,347	(8,074,399)	(57,282)	632,471
Cash flows					
Premiums received	10,845,978	-	-	-	10,845,978
Claims and other directly attributable expenses paid	-	-	(7,681,856)	-	(7,681,856)
Insurance acquisition cash flows	(868,211)	-	-	-	(868,211)
	9,977,767	-	(7,681,856)	-	2,295,911
Net closing balance – September 30, 2024	4,178,369	43,591	2,956,748	230,996	7,409,704

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8. INSURANCE AND REINSURANCE CONTRACTS (continued)

8.1.1 Roll-forward of net asset or liability for insurance contracts issued showing the liability for remaining coverage and the liability for incurred claims (continued)

b. Medical Umrah

	Liabilities for remaining coverage		Liabilities for incurred claims		Total
	Excluding loss component	Loss component	Estimates of the present value of future cash flows	Risk Adjustment	
	SAR '000				
September 30, 2024 (unaudited)					
Net opening balance – January 1, 2024	612,556	-	(267,320)	512	345,748
Changes in the consolidated statement of income					
Insurance revenue	3,933	-	-	-	3,933
Insurance service expenses					
Incurred claims and other directly attributable expenses	-	-	3,089	9	3,098
Changes that relate to past service - changes in fulfilment cash flows ("FCF") relating to LIC	-	-	(2,749)	(1,385)	(4,134)
Losses on onerous contracts and reversal of those losses					
Insurance acquisition cash flows amortisation	8,354	-	-	-	8,354
	8,354	-	340	(1,376)	7,318
Insurance service result	(4,421)	-	(340)	1,376	(3,385)
Net finance expenses from insurance contracts	-	-	1,444	(83)	1,361
Total changes in the consolidated statement of income	(4,421)	-	1,104	1,293	(2,024)
Cash flows					
Premiums received	17,459	-	-	-	17,459
Claims and other directly attributable expenses paid	-	-	(21,735)	-	(21,735)
Insurance acquisition cash flows	(14,928)	-	-	-	(14,928)
	2,531	-	(21,735)	-	(19,204)
Net closing balance – September 30, 2024	619,508	-	(290,159)	(781)	328,568

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NOTES TO THE INTERIM CONDENSED CONSOLIDATED FINANCIAL STATEMENTS (UNAUDITED)

(continued)

FOR THE THREE AND NINE MONTHS PERIOD ENDED SEPTEMBER 30, 2024

8. INSURANCE AND REINSURANCE CONTRACTS (continued)

8.1.1 Roll-forward of net asset or liability for insurance contracts issued showing the liability for remaining coverage and the liability for incurred claims (continued)

c. Motor

	Liabilities for remaining coverage		Liabilities for incurred claims		Total
	Excluding loss component	Loss component	Estimates of the present value of future cash flows	Risk Adjustment	
	SAR '000				
September 30, 2024 (unaudited)					
Net opening balance – January 1, 2024	1,480,546	17,218	623,348	23,975	2,145,087
Changes in the consolidated statement of income					
Insurance revenue	2,141,013	-	-	-	2,141,013
Insurance service expenses					
Incurred claims and other directly attributable expenses	-	-	1,794,482	13,531	1,808,013
Changes that relate to past service - changes in fulfilment cash flows ("FCF") relating to LIC	-	-	(127,549)	(15,736)	(143,285)
Losses on onerous contracts and reversal of those losses	-	27,149	-	-	27,149
Insurance acquisition cash flows amortisation	310,733	-	-	-	310,733
	310,733	27,149	1,666,933	(2,205)	2,002,610
Insurance service result	1,830,280	(27,149)	(1,666,933)	2,205	138,403
Net finance expenses from insurance contracts	-	-	(10,609)	(704)	(11,313)
Total changes in the consolidated statement of income	1,830,280	(27,149)	(1,677,542)	1,501	127,090
Cash flows					
Premiums received	1,904,584	-	-	-	1,904,584
Claims and other directly attributable expenses paid	-	-	(1,709,221)	-	(1,709,221)
Insurance acquisition cash flows	(322,492)	-	-	-	(322,492)
	1,582,092	-	(1,709,221)	-	(127,129)
Net closing balance – September 30, 2024	1,232,358	44,367	591,669	22,474	1,890,868

THE COMPANY FOR COOPERATIVE INSURANCE

(A SAUDI JOINT STOCK COMPANY)

NOTES TO THE INTERIM CONDENSED CONSOLIDATED FINANCIAL STATEMENTS (UNAUDITED)

(continued)

FOR THE THREE AND NINE MONTHS PERIOD ENDED SEPTEMBER 30, 2024

8. INSURANCE AND REINSURANCE CONTRACTS (continued)

8.1.1 Roll-forward of net asset or liability for insurance contracts issued showing the liability for remaining coverage and the liability for incurred claims (continued)

d. Property and casualty

	Liabilities for remaining coverage		Liabilities for incurred claims		Total
	Excluding loss component	Loss component	Estimates of the present value of future cash flows	Risk Adjustment	
	SAR '000				
September 30, 2024 (unaudited)					
Net opening balance – January 1, 2024	1,182,815	7,244	2,884,311	348,600	4,422,970
Changes in the consolidated statement of income					
Insurance revenue	1,758,009				1,758,009
Insurance service expenses					
Incurred claims and other directly attributable expenses	-	-	1,028,134	90,443	1,118,577
Changes that relate to past service - changes in fulfilment cash flows ("FCF") relating to LIC	-	-	(563,453)	(80,091)	(643,544)
Losses on onerous contracts and reversal of those losses	-	(4,430)	-	-	(4,430)
Insurance acquisition cash flows amortisation	113,329	-	-	-	113,329
	113,329	(4,430)	464,681	10,352	583,932
Insurance service result	1,644,680	4,430	(464,681)	(10,352)	1,174,077
Net finance expenses from insurance contracts	-	-	(85,581)	(10,507)	(96,088)
Total changes in the consolidated statement of income	1,638,170	4,430	(550,262)	(20,859)	1,077,989
Cash flows					
Premiums received	2,284,872	-	-	-	2,284,006
Claims and other directly attributable expenses paid	-	-	(916,324)	-	(916,324)
Insurance acquisition cash flows	(118,353)	-	-	-	(118,353)
	2,166,519	-	(916,324)	-	1,250,195
Net closing balance – September 30, 2024	1,704,654	2,814	2,518,249	369,459	4,595,176

THE COMPANY FOR COOPERATIVE INSURANCE

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NOTES TO THE INTERIM CONDENSED CONSOLIDATED FINANCIAL STATEMENTS (UNAUDITED)

(continued)

FOR THE THREE AND NINE MONTHS PERIOD ENDED SEPTEMBER 30, 2024

8. INSURANCE AND REINSURANCE CONTRACTS (continued)

8.1.1 Roll-forward of net asset or liability for insurance contracts issued showing the liability for remaining coverage and the liability for incurred claims (continued)

e. General accidents - Hajj & Umrah

	Liabilities for remaining coverage		Liabilities for incurred claims		Total
	Excluding loss component	Loss component	Estimates of the present value of future cash flows	Risk Adjustment	
	SAR '000				
September 30, 2024 (unaudited)					
Net opening balance – January 1, 2024	700,723	-	(38,888)	(5,520)	656,315
Changes in the consolidated statement of income					
Insurance revenue	1,307	-	-	-	1,307
Insurance service expenses					
Incurred claims and other directly attributable expenses	-	-	(356)	120	(236)
Changes that relate to past service - changes in fulfilment cash flows ("FCF") relating to LIC	-	-	(5,582)	(999)	(6,581)
Losses on onerous contracts and reversal of those losses	-	-	-	-	-
Insurance acquisition cash flows amortisation	1,944	-	-	-	1,944
	1,944	-	(5,938)	(879)	(4,873)
Insurance service result	(637)	-	5,938	879	6,180
Net finance expenses from insurance contracts	-	-	(29)	(44)	(73)
Total changes in the consolidated statement of income	(637)	-	5,909	835	6,107
Cash flows					
Premiums received	6,027	-	-	-	6,027
Claims and other directly attributable expenses paid	-	-	(3,025)	-	(3,025)
Insurance acquisition cash flows	(752)	-	-	-	(752)
	5,275	-	(3,025)	-	2,250
Net closing balance – September 30, 2024	706,635	-	(47,822)	(6,355)	652,458

THE COMPANY FOR COOPERATIVE INSURANCE

(A SAUDI JOINT STOCK COMPANY)

NOTES TO THE INTERIM CONDENSED CONSOLIDATED FINANCIAL STATEMENTS (UNAUDITED)

(continued)

FOR THE THREE AND NINE MONTHS PERIOD ENDED SEPTEMBER 30, 2024

8. INSURANCE AND REINSURANCE CONTRACTS (continued)

8.1.1 Roll-forward of net asset or liability for insurance contracts issued showing the liability for remaining coverage and the liability for incurred claims (continued)

f. Travel & COVID-19

	Liabilities for remaining coverage		Liabilities for incurred claims		Total
	Excluding loss component	Loss component	Estimates of the present value of future cash flows	Risk Adjustment	
	SAR '000				
September 30, 2024 (unaudited)					
Net opening balance – January 1, 2024	82,329	-	(4,464)	(1,530)	76,335
Changes in the consolidated statement of income	-	-	-	-	-
Insurance revenue	-	-	-	-	-
Insurance service expenses					
Incurred claims and other directly attributable expenses	-	-	-	-	-
Changes that relate to past service - changes in fulfilment					
cash flows ("FCF") relating to LIC	-	-	-	-	-
Losses on onerous contracts and reversal of those losses	-	-	-	-	-
Insurance acquisition cash flows amortisation	-	-	-	-	-
			-		-
Insurance service result	-	-	-	-	-
Net finance expenses from insurance contracts	-	-	-	-	-
Total changes in the consolidated statement of income	-	-	-	-	-
Cash flows					
Premiums received	-	-	-	-	-
Claims and other directly attributable expenses paid	-	-	-	-	-
Insurance acquisition cash flows	-	-	-	-	-
	-	-	-		-
Net closing balance – September 30, 2024	82,329	-	(4,464)	(1,530)	76,335

THE COMPANY FOR COOPERATIVE INSURANCE

(A SAUDI JOINT STOCK COMPANY)

NOTES TO THE INTERIM CONDENSED CONSOLIDATED FINANCIAL STATEMENTS (UNAUDITED)

(continued)

FOR THE THREE AND NINE MONTHS PERIOD ENDED SEPTEMBER 30, 2024

8. INSURANCE AND REINSURANCE CONTRACTS (continued)

8.1.1 Roll-forward of net asset or liability for insurance contracts issued showing the liability for remaining coverage and the liability for incurred claims (continued)

g. Protection and savings

	Liabilities for remaining coverage		Liabilities for incurred claims		Total
	Excluding loss component	Loss component	Estimates of the present value of future cash flows	Risk Adjustment	
	SAR '000				
September 30, 2024 (unaudited)					
Net opening balance – January 1, 2024	(29,688)	2,502	66,442	4,182	43,438
Changes in the consolidated statement of income					
Insurance revenue	87,317	-	-	-	87,317
Insurance service expenses					
Incurred claims and other directly attributable expenses	-	-	106,900	3,266	110,166
Changes that relate to past service - changes in fulfilment cash flows ("FCF") relating to LIC	-	-	(22,516)	(3,432)	(25,948)
Losses on onerous contracts and reversal of those losses	-	(300)	-	-	(300)
Insurance acquisition cash flows amortisation	7,240	-	-	-	7,240
	7,240	(300)	84,384	(166)	91,158
Insurance service result	80,077	300	(84,384)	166	(3,841)
Net finance expenses from insurance contracts	-	-	(842)	(128)	(970)
Total changes in the consolidated statement of income	80,077	300	(85,226)	38	(4,811)
Cash flows					
Premiums received	46,962	-	-	-	46,962
Claims and other directly attributable expenses paid	-	-	(87,332)	-	(87,332)
Insurance acquisition cash flows	(7,387)	-	-	-	(7,387)
	39,575	-	(87,332)	-	(47,757)
Net closing balance – September 30, 2024	(70,190)	2,202	64,336	4,144	492

THE COMPANY FOR COOPERATIVE INSURANCE
(A SAUDI JOINT STOCK COMPANY)
NOTES TO THE INTERIM CONDENSED CONSOLIDATED FINANCIAL STATEMENTS (UNAUDITED)
(continued)
FOR THE THREE AND NINE MONTHS PERIOD ENDED SEPTEMBER 30, 2024

8. INSURANCE AND REINSURANCE CONTRACTS (continued)

8.1.2 Roll-forward of net asset or liability for insurance contracts issued showing the liability for remaining coverage and the liability for incurred claims

a. Medical

	Liabilities for remaining coverage		Liabilities for incurred claims		Total
	Excluding loss component	Loss component	Estimates of the present value of future cash flows	Risk Adjustment	
	SAR '000				
December 31, 2023 (Audited)					
Net opening balance – January 1, 2023	2,565,359	23,971	2,695,942	191,501	5,476,773
Changes in the consolidated statement of income					
Insurance revenue	11,254,531	-	-	-	11,254,531
Insurance service expenses					
Incurred claims and other directly attributable expenses	-	-	10,132,909	154,292	10,287,201
Changes that relate to past service - changes in fulfilment cash flows ("FCF") relating to LIC	-	-	(82,107)	(175,778)	(257,885)
Losses on onerous contracts and reversal of those losses	-	109,967	-	-	109,967
Insurance acquisition cash flows amortisation	684,708	-	-	-	684,708
	684,708	109,967	10,050,802	(21,486)	10,823,991
Insurance service result	10,569,823	(109,967)	(10,050,082)	21,486	430,540
Net finance expenses from insurance contracts	-	-	(53,329)	(3,699)	(57,028)
Total changes in the consolidated statement of income	10,569,823	(109,967)	(10,104,131)	17,787	373,512
Cash flows					
Premiums received	11,661,233	-	-	-	11,661,233
Claims and other directly attributable expenses paid	-	-	(10,235,868)	-	(10,235,868)
Insurance acquisition cash flows	(782,362)	-	-	-	(782,362)
	10,878,871	-	(10,235,868)	-	643,003
Net closing balance – December 31, 2023	2,874,407	133,938	2,564,205	173,714	5,746,264

THE COMPANY FOR COOPERATIVE INSURANCE

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NOTES TO THE INTERIM CONDENSED CONSOLIDATED FINANCIAL STATEMENTS (UNAUDITED)

(continued)

FOR THE THREE AND NINE MONTHS PERIOD ENDED SEPTEMBER 30, 2024

8. INSURANCE AND REINSURANCE CONTRACTS (continued)

8.1.2 Roll-forward of net asset or liability for insurance contracts issued showing the liability for remaining coverage and the liability for incurred claims (continued)

b. Medical Umrah

	Liabilities for remaining coverage		Liabilities for incurred claims		Total
	Excluding loss component	Loss component	Estimates of the present value of future cash flows	Risk Adjustment	
	SAR '000				
December 31, 2023 (Audited)					
Net opening balance – January 1, 2023	471,492	-	(204,072)	35	267,455
Changes in the consolidated statement of income					
Insurance revenue		-	-	-	22,972
	22,972				
Insurance service expenses					
Incurred claims and other directly attributable expenses	-	-	9,071	1,347	10,418
Changes that relate to past service - changes in fulfilment cash flows ("FCF") relating to LIC	-	-	(7,883)	(893)	(8,776)
Losses on onerous contracts and reversal of those losses	-	-	-	-	-
Insurance acquisition cash flows amortisation	15,946	-	-	-	15,946
	15,946	-	1,188	454	17,588
Insurance service result	7,026	-	(1,188)	(454)	5,384
Net finance expenses from insurance contracts	-	-	(378)	(23)	(401)
Total changes in the consolidated statement of income	7,026	-	(1,566)	(477)	4,983
Cash flows					
Premiums received	550,073	-	-	-	550,073
Claims and other directly attributable expenses paid	-	-	(64,814)	-	(64,814)
Insurance acquisition cash flows	(401,983)	-	-	-	(401,983)
	148,090	-	(64,814)	-	83,276
Net closing balance – December 31, 2023	612,556	-	(267,320)	512	345,748

THE COMPANY FOR COOPERATIVE INSURANCE

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NOTES TO THE INTERIM CONDENSED CONSOLIDATED FINANCIAL STATEMENTS (UNAUDITED)

(continued)

FOR THE THREE AND NINE MONTHS PERIOD ENDED SEPTEMBER 30, 2024

8. INSURANCE AND REINSURANCE CONTRACTS (continued)

8.1.2 Roll-forward of net asset or liability for insurance contracts issued showing the liability for remaining coverage and the liability for incurred claims (continued)

c. Motor

	Liabilities for remaining coverage		Liabilities for incurred claims		Total
	Excluding loss component	Loss component	Estimates of the present value of future cash flows	Risk Adjustment	
	SAR '000				
December 31, 2023 (Audited)					
Net opening balance – January 1, 2023	534,437	27,201	434,318	21,515	1,017,471
Changes in the consolidated statement of income					
Insurance revenue	1,855,140	-	-	-	1,855,140
Insurance service expenses					
Incurred claims and other directly attributable expenses	-	-	1,449,085	16,732	1,465,817
Changes that relate to past service - changes in fulfilment cash flows ("FCF") relating to LIC	-	-	(40,922)	(14,705)	(55,627)
Losses on onerous contracts and reversal of those losses	-	(9,983)	-	-	(9,983)
Insurance acquisition cash flows amortisation	333,984	-	-	-	333,984
	333,984	(9,983)	1,408,163	2,027	1,734,191
Insurance service result	1,521,156	9,983	(1,408,163)	(2,027)	120,949
Net finance expenses from insurance contracts	-	-	(7,792)	(433)	(8,225)
Total changes in the consolidated statement of income	1,521,156	9,983	(1,415,955)	(2,460)	112,724
Cash flows					
Premiums received	2,841,334	-	-	-	2,841,334
Claims and other directly attributable expenses paid	-	-	(1,226,925)	-	(1,226,925)
Insurance acquisition cash flows	(374,069)	-	-	-	(374,069)
	2,467,265	-	(1,226,925)	-	1,240,340
Net closing balance – December 31, 2023	1,480,546	17,218	623,348	23,975	2,145,087

THE COMPANY FOR COOPERATIVE INSURANCE

(A SAUDI JOINT STOCK COMPANY)

NOTES TO THE INTERIM CONDENSED CONSOLIDATED FINANCIAL STATEMENTS (UNAUDITED)

(continued)

FOR THE THREE AND NINE MONTHS PERIOD ENDED SEPTEMBER 30, 2024

8. INSURANCE AND REINSURANCE CONTRACTS (continued)

8.1.2 Roll-forward of net asset or liability for insurance contracts issued showing the liability for remaining coverage and the liability for incurred claims (continued)

d. Property and casualty

	Liabilities for remaining coverage		Liabilities for incurred claims		Total
	Excluding loss component	Loss component	Estimates of the present value of future cash flows	Risk Adjustment	
	SAR '000				
December 31, 2023 (Audited)					
Net opening balance – January 1, 2023	912,617	36,608	2,317,653	495,008	3,761,886
Changes in the consolidated statement of income					
Insurance revenue	2,062,001	-	-	-	2,062,001
Insurance service expenses					
Incurred claims and other directly attributable expenses	-	-	1,276,860	98,396	1,375,256
Changes that relate to past service - changes in fulfilment cash flows ("FCF") relating to LIC	-	-	243,215	(255,001)	(11,786)
Losses on onerous contracts and reversal of those losses	-	(29,364)	-	-	(29,364)
Insurance acquisition cash flows amortisation	130,946	-	-	-	130,946
	130,946	(29,364)	1,520,075	(156,605)	1,465,052
Insurance service result	1,931,055	29,364	(1,520,075)	156,605	600,094
Net finance expenses from insurance contracts	-	-	(64,356)	(10,197)	(74,553)
Total changes in the consolidated statement of income	1,931,055	29,364	(1,584,431)	146,408	522,396
Cash flows					
Premiums received	2,361,339	-	-	-	2,361,339
Claims and other directly attributable expenses paid	-	-	(1,017,773)	-	(1,017,773)
Insurance acquisition cash flows	(160,086)	-	-	-	(160,086)
	2,201,253	-	(1,017,773)	-	1,183,480
Net closing balance – December 31, 2023	1,182,815	7,244	2,884,311	348,600	4,422,970

THE COMPANY FOR COOPERATIVE INSURANCE

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NOTES TO THE INTERIM CONDENSED CONSOLIDATED FINANCIAL STATEMENTS (UNAUDITED)

(continued)

FOR THE THREE AND NINE MONTHS PERIOD ENDED SEPTEMBER 30, 2024

8. INSURANCE AND REINSURANCE CONTRACTS (continued)

8.1.2 Roll-forward of net asset or liability for insurance contracts issued showing the liability for remaining coverage and the liability for incurred claims (continued)

e. General accidents - Hajj & Umrah

	Liabilities for remaining coverage		Liabilities for incurred claims		Total
	Excluding loss component	Loss component	Estimates of the present value of future cash flows	Risk Adjustment	
	SAR '000				
December 31, 2023 (Audited)					
Net opening balance – January 1, 2023	476,518	-	(17,763)	261	459,016
Changes in the consolidated statement of income					
Insurance revenue	12,810	-	-	-	12,810
Insurance service expenses					
Incurred claims and other directly attributable expenses	-	-	17,447	1,132	18,579
Changes that relate to past service - changes in fulfilment cash flows ("FCF") relating to LIC	-	-	(34,356)	(6,984)	(41,340)
Losses on onerous contracts and reversal of those losses	-	-	-	-	-
Insurance acquisition cash flows amortisation	961	-	-	-	961
	961	-	(16,909)	(5,852)	(21,800)
Insurance service result	11,849	-	16,909	5,852	34,610
Net finance expenses from insurance contracts	-	-	(559)	(71)	(630)
Total changes in the consolidated statement of income	11,849	-	16,350	5,781	33,980
Cash flows					
Premiums received	260,842	-	-	-	260,842
Claims and other directly attributable expenses paid	-	-	(4,775)	-	(4,775)
Insurance acquisition cash flows	(24,788)	-	-	-	(24,788)
	236,054	-	(4,775)	-	231,279
Net closing balance – December 31, 2023	700,723	-	(38,888)	(5,520)	656,315

THE COMPANY FOR COOPERATIVE INSURANCE

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(continued)

FOR THE THREE AND NINE MONTHS PERIOD ENDED SEPTEMBER 30, 2024

8. INSURANCE AND REINSURANCE CONTRACTS (continued)

8.1.2 Roll-forward of net asset or liability for insurance contracts issued showing the liability for remaining coverage and the liability for incurred claims (continued)

f. Travel & COVID-19

	Liabilities for remaining coverage		Liabilities for incurred claims		Total
	Excluding loss component	Loss component	Estimates of the present value of future cash flows	Risk Adjustment	
	SAR '000				
December 31, 2023 (Audited)					
Net opening balance – January 1, 2023	83,121	-	1,041	676	84,838
Changes in the consolidated statement of income					
Insurance revenue	-	-	-	-	-
Insurance service expenses					
Incurred claims and other directly attributable expenses	-	-	-	-	-
Changes that relate to past service - changes in fulfilment cash flows ("FCF") relating to LIC	-	-	(2,452)	(2,249)	(4,701)
Losses on onerous contracts and reversal of those losses	-	-	-	-	-
Insurance acquisition cash flows amortisation	-	-	-	-	-
	-	-	(2,452)	(2,249)	(4,701)
Insurance service result	-	-	2,452	2,249	4,701
Net finance expenses from insurance contracts	-	-	(204)	(43)	(247)
Total changes in the consolidated statement of income	-	-	2,248	2,206	4,454
Cash flows					
Premiums received	-	-	-	-	-
Claims and other directly attributable expenses paid	-	-	(3,257)	-	(3,257)
Insurance acquisition cash flows	(792)	-	-	-	(792)
	(792)	-	(3,257)	-	(4,049)
Net closing balance – December 31, 2023	82,329	-	(4,464)	(1,530)	76,335

THE COMPANY FOR COOPERATIVE INSURANCE

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(continued)

FOR THE THREE AND NINE MONTHS PERIOD ENDED SEPTEMBER 30, 2024

8. INSURANCE AND REINSURANCE CONTRACTS (continued)

8.1.2 Roll-forward of net asset or liability for insurance contracts issued showing the liability for remaining coverage and the liability for incurred claims (continued)

g. Protection and savings

	Liabilities for remaining coverage		Liabilities for incurred claims		Total
	Excluding loss component	Loss component	Estimates of the present value of future cash flows	Risk Adjustment	
	SAR '000				
December 31, 2023 (Audited)					
Net opening balance – January 1, 2023	(17,501)	3,662	42,356	5,073	33,590
Changes in the consolidated statement of income					
Insurance revenue	57,970	-	-	-	57,970
Insurance service expenses					
Incurred claims and other directly attributable expenses	-	-	63,724	2,999	66,723
Changes that relate to past service - changes in fulfilment cash flows ("FCF") relating to LIC	-	-	(10,929)	(3,955)	(14,884)
Losses on onerous contracts and reversal of those losses	-	(1,160)	-	-	(1,160)
Insurance acquisition cash flows amortisation	2,493	-	-	-	2,493
	2,493	(1,160)	52,795	(956)	53,172
Insurance service result	55,477	1,160	(52,795)	956	4,798
Net finance expenses from insurance contracts	-	-	(1,003)	(65)	(1,068)
Total changes in the consolidated statement of income	55,477	1,160	(53,798)	891	3,730
Cash flows					
Premiums received	45,681	-	-	-	45,681
Claims and other directly attributable expenses paid	-	-	(29,712)	-	(29,712)
Insurance acquisition cash flows	(2,391)	-	-	-	(2,391)
	43,290	-	(29,712)	-	13,578
Net closing balance – December 31, 2023	(29,688)	2,502	66,442	4,182	43,438

THE COMPANY FOR COOPERATIVE INSURANCE

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NOTES TO THE INTERIM CONDENSED CONSOLIDATED FINANCIAL STATEMENTS (UNAUDITED)

(continued)

FOR THE THREE AND NINE MONTHS PERIOD ENDED SEPTEMBER 30, 2024

8. INSURANCE AND REINSURANCE CONTRACTS (continued)

8.1.3 Roll-forward of net asset or liability for insurance contracts issued showing the liability for remaining coverage and the liability for incurred claims (continued)

a. Medical

	Liabilities for remaining coverage		Liabilities for incurred claims		Total
	Excluding loss component	Loss component	Estimates of the present value of future cash flows	Risk Adjustment	
	SAR '000				
September 30, 2023 (unaudited)					
Net opening balance – January 1, 2023	2,569,881	23,971	2,695,942	191,501	5,481,295
Changes in the consolidated statement of income					
Insurance revenue	8,297,780	-	-	-	8,297,780
Insurance service expenses					
Incurred claims and other directly attributable expenses	-	-	7,277,632	318,105	7,595,737
Changes that relate to past service - changes in fulfilment cash flows ("FCF") relating to LIC	-	-	(44,594)	(302,973)	(347,567)
Losses on onerous contracts and reversal of those losses	-	(17,718)	-	-	(17,718)
Insurance acquisition cash flows amortisation	527,651	-	-	-	527,651
	527,651	(17,718)	7,233,038	15,132	7,758,103
Insurance service result	7,770,129	17,718	(7,233,038)	(15,132)	539,677
Net finance expenses from insurance contracts	-	-	(50,122)	(3,241)	(53,363)
Total changes in the consolidated statement of income	7,770,129	17,718	(7,283,160)	(18,373)	486,314
Cash flows					
Premiums received	8,519,250	-	-	-	8,519,250
Claims and other directly attributable expenses paid	-	-	(7,188,509)	-	(7,188,509)
Insurance acquisition cash flows	(642,364)	-	-	-	(642,364)
	7,876,886	-	(7,188,509)	-	688,377
Net closing balance – September 30, 2023	2,676,638	6,253	2,790,593	209,874	5,683,358

THE COMPANY FOR COOPERATIVE INSURANCE

(A SAUDI JOINT STOCK COMPANY)

NOTES TO THE INTERIM CONDENSED CONSOLIDATED FINANCIAL STATEMENTS (UNAUDITED)

(continued)

FOR THE THREE AND NINE MONTHS PERIOD ENDED SEPTEMBER 30, 2024

8. INSURANCE AND REINSURANCE CONTRACTS (continued)

8.1.3 Roll-forward of net asset or liability for insurance contracts issued showing the liability for remaining coverage and the liability for incurred claims (continued)

b. Medical Umrah

	Liabilities for remaining coverage		Liabilities for incurred claims		Total
	Excluding loss component	Loss component	Estimates of the present value of future cash flows	Risk Adjustment	
	SAR '000				
September 30, 2023 (unaudited)					
Net opening balance – January 1, 2023	473,383	-	(204,072)	35	269,346
Changes in the consolidated statement of income					
Insurance revenue	17,356	-	-	-	17,356
Insurance service expenses					
Incurred claims and other directly attributable expenses	-	-	916	80	996
Changes that relate to past service - changes in fulfilment cash flows ("FCF") relating to LIC	-	-	1,010	(39)	971
Losses on onerous contracts and reversal of those losses					
Insurance acquisition cash flows amortisation	1,302	-	-	-	1,302
	1,302	-	1,926	41	3,269
Insurance service result	16,054	-	(1,926)	(41)	14,087
Net finance expenses from insurance contracts	-	-	791	48	839
Total changes in the consolidated statement of income	16,054	-	(1,135)	7	14,926
Cash flows					
Premiums received	379,816	-	-	-	379,816
Claims and other directly attributable expenses paid	-	-	(275,580)	-	(275,580)
Insurance acquisition cash flows	(35,523)	-	-	-	(35,523)
	344,293	-	(275,580)	-	68,713
Net closing balance – September 30, 2023	801,622	-	(478,517)	28	323,133

THE COMPANY FOR COOPERATIVE INSURANCE

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(continued)

FOR THE THREE AND NINE MONTHS PERIOD ENDED SEPTEMBER 30, 2024

8. INSURANCE AND REINSURANCE CONTRACTS (continued)

8.1.3 Roll-forward of net asset or liability for insurance contracts issued showing the liability for remaining coverage and the liability for incurred claims (continued)

c. Motor

	Liabilities for remaining coverage		Liabilities for incurred claims		Total
	Excluding loss component	Loss component	Estimates of the present value of future cash flows	Risk Adjustment	
	SAR '000				
September 30, 2023 (unaudited)					
Net opening balance – January 1, 2023	534,735	27,201	434,318	21,515	1,017,769
Changes in the consolidated statement of income					
Insurance revenue	1,188,038	-	-	-	1,188,038
Insurance service expenses					
Incurred claims and other directly attributable expenses	-	-	899,569	27,518	927,087
Changes that relate to past service - changes in fulfilment cash flows ("FCF") relating to LIC	-	-	(32,454)	(23,273)	(55,727)
Losses on onerous contracts and reversal of those losses	-	8,172	-	-	8,172
Insurance acquisition cash flows amortisation	178,621	-	-	-	178,621
	178,621	8,172	867,115	4,245	1,058,153
Insurance service result	1,009,417	(8,172)	(867,115)	(4,245)	129,885
Net finance expenses from insurance contracts	-	-	(4,761)	(335)	(5,096)
Total changes in the consolidated statement of income	1,009,417	(8,172)	(871,876)	(4,580)	124,789
Cash flows					
Premiums received	2,155,346	-	-	-	2,155,346
Claims and other directly attributable expenses paid	-	-	(747,494)	-	(747,494)
Insurance acquisition cash flows	(272,034)	-	-	-	(272,034)
	1,883,312	-	(747,494)	-	1,135,818
Net closing balance – September 30, 2023	1,408,630	35,373	558,700	26,095	2,028,798

THE COMPANY FOR COOPERATIVE INSURANCE

(A SAUDI JOINT STOCK COMPANY)

NOTES TO THE INTERIM CONDENSED CONSOLIDATED FINANCIAL STATEMENTS (UNAUDITED)

(continued)

FOR THE THREE AND NINE MONTHS PERIOD ENDED SEPTEMBER 30, 2024

8. INSURANCE AND REINSURANCE CONTRACTS (continued)

8.1.3 Roll-forward of net asset or liability for insurance contracts issued showing the liability for remaining coverage and the liability for incurred claims (continued)

d. Property and casualty

	Liabilities for remaining coverage		Liabilities for incurred claims		Total
	Excluding loss component	Loss component	Estimates of the present value of future cash flows	Risk Adjustment	
	SAR '000				
September 30, 2023 (unaudited)					
Net opening balance – January 1, 2023	910,902	36,608	2,317,653	495,008	3,760,171
Changes in the consolidated statement of income					
Insurance revenue	1,516,167				1,516,167
Insurance service expenses					
Incurred claims and other directly attributable expenses	-	-	1,557,049	205,977	1,763,026
Changes that relate to past service - changes in fulfilment cash flows ("FCF") relating to LIC	-	-	109,906	(130,951)	(21,045)
Losses on onerous contracts and reversal of those losses	-	24,547	-	-	24,547
Insurance acquisition cash flows amortisation	91,927	-	-	-	91,927
	91,927	24,547	1,666,955	75,026	1,858,455
Insurance service result	1,424,240	(24,547)	(1,666,955)	(75,026)	(342,288)
Net finance expenses from insurance contracts	-	-	(52,285)	(10,705)	(62,990)
Total changes in the consolidated statement of income	1,424,240	(24,547)	(1,719,240)	(85,731)	(405,278)
Cash flows					
Premiums received	1,698,892	-	-	-	1,698,892
Claims and other directly attributable expenses paid	-	-	(878,129)	-	(878,129)
Insurance acquisition cash flows	(117,168)	-	-	-	(117,168)
	1,581,724	-	(878,129)	-	703,595
Net closing balance – September 30, 2023	1,070,101	61,155	3,158,764	580,739	4,870,759

THE COMPANY FOR COOPERATIVE INSURANCE

(A SAUDI JOINT STOCK COMPANY)

NOTES TO THE INTERIM CONDENSED CONSOLIDATED FINANCIAL STATEMENTS (UNAUDITED)

(continued)

FOR THE THREE AND NINE MONTHS PERIOD ENDED SEPTEMBER 30, 2024

8. INSURANCE AND REINSURANCE CONTRACTS (continued)

8.1.3 Roll-forward of net asset or liability for insurance contracts issued showing the liability for remaining coverage and the liability for incurred claims (continued)

e. General accidents - Hajj & Umrah

	Liabilities for remaining coverage		Liabilities for incurred claims		Total
	Excluding loss component	Loss component	Estimates of the present value of future cash flows	Risk Adjustment	
	SAR '000				
September 30, 2023 (unaudited)					
Net opening balance – January 1, 2023	476,518	-	(17,763)	261	459,016
Changes in the consolidated statement of income					
Insurance revenue	10,944	-	-	-	10,944
Insurance service expenses					
Incurred claims and other directly attributable expenses	-	-	25,352	232	25,584
Changes that relate to past service - changes in fulfilment cash flows ("FCF") relating to LIC	-	-	(31,948)	(121)	(32,069)
Losses on onerous contracts and reversal of those losses	-	-	-	-	-
Insurance acquisition cash flows amortisation	822	-	-	-	822
	822	-	(6,596)	111	(5,663)
Insurance service result	10,122	-	6,596	(111)	16,607
Net finance expenses from insurance contracts	-	-	606	134	740
Total changes in the consolidated statement of income	10,122	-	7,202	23	17,347
Cash flows					
Premiums received	202,081	-	-	-	202,081
Claims and other directly attributable expenses paid	-	-	(9,371)	-	(9,371)
Insurance acquisition cash flows	(23,794)	-	-	-	(23,794)
	178,287	-	(9,371)	-	168,916
Net closing balance – September 30, 2023	644,683	-	(34,336)	238	610,585

THE COMPANY FOR COOPERATIVE INSURANCE

(A SAUDI JOINT STOCK COMPANY)

NOTES TO THE INTERIM CONDENSED CONSOLIDATED FINANCIAL STATEMENTS (UNAUDITED)

(continued)

FOR THE THREE AND NINE MONTHS PERIOD ENDED SEPTEMBER 30, 2024

8. INSURANCE AND REINSURANCE CONTRACTS (continued)

8.1.3 Roll-forward of net asset or liability for insurance contracts issued showing the liability for remaining coverage and the liability for incurred claims (continued)

f. Travel & COVID-19

	Liabilities for remaining coverage		Liabilities for incurred claims		Total
	Excluding loss component	Loss component	Estimates of the present value of future cash flows	Risk Adjustment	
	SAR '000				
September 30, 2023 (unaudited)					
Net opening balance – January 1, 2023	83,121	-	1,041	676	84,838
Changes in the consolidated statement of income	-	-	-	-	-
Insurance revenue	-	-	-	-	-
Insurance service expenses					
Incurred claims and other directly attributable expenses	-	-	-	-	-
Changes that relate to past service - changes in fulfilment cash flows ("FCF") relating to LIC	-	-	(4,956)	(510)	(5,466)
Losses on onerous contracts and reversal of those losses	-	-	-	-	-
Insurance acquisition cash flows amortisation	-	-	-	-	-
			(4,956)	(510)	(5,466)
Insurance service result	-	-	4,956	510	5,466
Net finance expenses from insurance contracts	-	-	(42)	(9)	(51)
Total changes in the consolidated statement of income	-	-	4,914	501	5,415
Cash flows					
Premiums received	-	-	-	-	-
Claims and other directly attributable expenses paid	-	-	(389)	-	(389)
Insurance acquisition cash flows	(792)	-	-	-	(792)
	(792)	-	(389)		(1,181)
Net closing balance – September 30, 2023	82,329	-	(4,262)	175	78,242

THE COMPANY FOR COOPERATIVE INSURANCE

(A SAUDI JOINT STOCK COMPANY)

NOTES TO THE INTERIM CONDENSED CONSOLIDATED FINANCIAL STATEMENTS (UNAUDITED)

(continued)

FOR THE THREE AND NINE MONTHS PERIOD ENDED SEPTEMBER 30, 2024

8. INSURANCE AND REINSURANCE CONTRACTS (continued)

8.1.3 Roll-forward of net asset or liability for insurance contracts issued showing the liability for remaining coverage and the liability for incurred claims (continued)

g. Protection and savings

	Liabilities for remaining coverage		Liabilities for incurred claims		Total
	Excluding loss component	Loss component	Estimates of the present value of future cash flows	Risk Adjustment	
	SAR '000				
September 30, 2023 (unaudited)					
Net opening balance – January 1, 2023	(17,501)	3,662	42,356	5,073	33,590
Changes in the consolidated statement of income					
Insurance revenue	35,188	-	-	-	35,188
Insurance service expenses					
Incurred claims and other directly attributable expenses	-	-	45,979	4,518	50,497
Changes that relate to past service - changes in fulfilment cash flows ("FCF") relating to LIC	-	-	(20,555)	(3,786)	(24,341)
Losses on onerous contracts and reversal of those losses	-	(3,503)	-	-	(3,503)
Insurance acquisition cash flows amortisation	1,828	-	-	-	1,828
	1,828	(3,503)	25,424	732	24,481
Insurance service result	33,360	3,503	(25,424)	(732)	10,707
Net finance expenses from insurance contracts	-	-	(921)	(112)	(1,033)
Total changes in the consolidated statement of income	33,360	3,503	(26,345)	(844)	9,674
Cash flows					
Premiums received	21,138	-	-	-	21,138
Claims and other directly attributable expenses paid	-	-	(17,636)	-	(17,636)
Insurance acquisition cash flows	(1,887)	-	-	-	(1,887)
	19,251	-	(17,636)	-	1,615
Net closing balance – September 30, 2023	(31,610)	159	51,065	5,917	25,531

THE COMPANY FOR COOPERATIVE INSURANCE

(A SAUDI JOINT STOCK COMPANY)

NOTES TO THE INTERIM CONDENSED CONSOLIDATED FINANCIAL STATEMENTS (UNAUDITED)

(continued)

FOR THE THREE AND NINE MONTHS PERIOD ENDED SEPTEMBER 30, 2024

8. INSURANCE AND REINSURANCE CONTRACTS (continued)

8.2.1 Roll-forward of net asset or liability for reinsurance contracts held showing the assets for remaining coverage and the amounts recoverable on incurred claims

a. Medical

	Assets for remaining coverage		Assets recoverable on incurred claims		Total
	Excluding loss component	Loss component	Estimates of the present value of future cash flows	Risk Adjustment	
	SAR '000				
September 30, 2024 (Unaudited)					
Net opening balance – January 1, 2024	147,795	-	(229,573)	(5,690)	(87,468)
Changes in the consolidated statement of income					
<i>Income (expenses) from reinsurance contracts held</i>					
Reinsurance expenses	(159,614)	-	-	-	(159,614)
Incurred claims recovery	-	-	97,352	4,766	102,118
Changes that relate to past service - changes in the FCF relating to incurred claims recovery	-	-	2,298	(2,690)	(392)
Income on initial recognition of onerous underlying contracts	-	901	-	-	901
Reversal of a loss-recovery component other than changes in the FCF of reinsurance contracts held	-	-	-	-	-
Changes in the FCF of reinsurance contracts held from onerous underlying contracts	-	-	-	-	-
Effect of changes in risk of reinsurers' non-performance	-	-	249	-	249
	(159,614)	901	99,899	2,076	(56,738)
Finance income from reinsurance contracts held	-	-	3,993	286	4,279
Total changes in the consolidated statement of income	(159,614)	901	103,892	2,362	(52,459)
Cash flows					
Premiums paid net of ceding commissions and other directly attributable expenses	(464,468)	-	-	-	(464,468)
Recoveries from reinsurance	-	-	216,204	-	216,204
	(464,468)	-	216,204	-	(248,264)
Net closing balance – September 30, 2024	(157,059)	(901)	(117,261)	(8,052)	(283,273)

THE COMPANY FOR COOPERATIVE INSURANCE

(A SAUDI JOINT STOCK COMPANY)

NOTES TO THE INTERIM CONDENSED CONSOLIDATED FINANCIAL STATEMENTS (UNAUDITED)

(continued)

FOR THE THREE AND NINE MONTHS PERIOD ENDED SEPTEMBER 30, 2024

8. INSURANCE AND REINSURANCE CONTRACTS (continued)

8.2.1 Roll-forward of net asset or liability for reinsurance contracts held showing the assets for remaining coverage and the amounts recoverable on incurred claims (continued)

b. Medical Umrah

	Assets for remaining coverage		Assets recoverable on incurred claims		Total
	Excluding loss component	Loss component	Estimates of the present value of future cash flows	Risk Adjustment	
	SAR '000				
September 30, 2024 (Unaudited)					
Net opening balance – January 1, 2024	-	-	-	-	-
Changes in the consolidated statement of income					
<i>Income (expenses) from reinsurance contracts held</i>					
Reinsurance expenses	-	-	-	-	-
Incurred claims recovery	-	-	-	-	-
Changes that relate to past service - changes in the FCF relating to incurred claims recovery	-	-	-	-	-
Income on initial recognition of onerous underlying contracts	-	-	-	-	-
Reversal of a loss-recovery component other than changes in the FCF of reinsurance contracts held	-	-	-	-	-
Changes in the FCF of reinsurance contracts held from onerous underlying contracts	-	-	-	-	-
Effect of changes in risk of reinsurers' non-performance	-	-	-	-	-
Finance income from reinsurance contracts held	-	-	-	-	-
Total changes in the consolidated statement of income	-	-	-	-	-
Cash flows					
Premiums paid net of ceding commissions and other directly attributable expenses	-	-	-	-	-
Recoveries from reinsurance	-	-	-	-	-
Net closing balance – September 30, 2024	-	-	-	-	-

THE COMPANY FOR COOPERATIVE INSURANCE

(A SAUDI JOINT STOCK COMPANY)

NOTES TO THE INTERIM CONDENSED CONSOLIDATED FINANCIAL STATEMENTS (UNAUDITED)

(continued)

FOR THE THREE AND NINE MONTHS PERIOD ENDED SEPTEMBER 30, 2024

8. INSURANCE AND REINSURANCE CONTRACTS (continued)

8.2.1 Roll-forward of net asset or liability for reinsurance contracts held showing the assets for remaining coverage and the amounts recoverable on incurred claims (continued)

c. Motor

	Assets for remaining coverage		Assets recoverable on incurred claims		Total
	Excluding loss component	Loss component	Estimates of the present value of future cash flows	Risk Adjustment	
	SAR '000				
September 30, 2024 (Unaudited)					
Net opening balance – January 1, 2024	10,917	-	(22,461)	(1,623)	(13,167)
Changes in the consolidated statement of income					
<i>Income (expenses) from reinsurance contracts held</i>					
Reinsurance expenses	(12,831)	-	-	-	(12,831)
Incurred claims recovery	-	-	(6)	(1)	(7)
Changes that relate to past service - changes in the FCF relating to incurred claims recovery	-	-	2,474	(559)	1,915
Income on initial recognition of onerous underlying contracts	-	-	-	-	-
Reversal of a loss-recovery component other than changes in the FCF of reinsurance contracts held	-	-	-	-	-
Changes in the FCF of reinsurance contracts held from					
onerous underlying contracts	-	-	-	-	-
Effect of changes in risk of reinsurers' non-performance	-	-	4	-	4
	(12,831)	-	2,472	(560)	(10,919)
Finance income from reinsurance contracts held	-	-	712	58	770
Total changes in the consolidated statement of income	(12,831)	-	3,184	(502)	(10,149)
Cash flows					
Premiums paid net of ceding commissions and other directly attributable expenses	(19,750)	-	-	-	(19,750)
Recoveries from reinsurance	-	-	12,520	-	12,520
	(19,750)	-	12,520	-	(7,230)
Net closing balance – September 30, 2024	3,998	-	(13,125)	(1,121)	(10,248)

THE COMPANY FOR COOPERATIVE INSURANCE

(A SAUDI JOINT STOCK COMPANY)

NOTES TO THE INTERIM CONDENSED CONSOLIDATED FINANCIAL STATEMENTS (UNAUDITED)

(continued)

FOR THE THREE AND NINE MONTHS PERIOD ENDED SEPTEMBER 30, 2024

8. INSURANCE AND REINSURANCE CONTRACTS (continued)

8.2.1 Roll-forward of net asset or liability for reinsurance contracts held showing the assets for remaining coverage and the amounts recoverable on incurred claims (continued)

d. Property & Casualty

	Assets for remaining coverage		Assets recoverable on incurred claims		Total
	Excluding loss component	Loss component	Estimates of the present value of future cash flows	Risk Adjustment	
	SAR '000				
September 30, 2024 (Unaudited)					
Net opening balance – January 1, 2024	(259,716)	(5,325)	(2,700,452)	(328,499)	(3,293,992)
Changes in the consolidated statement of income					
<i>Income (expenses) from reinsurance contracts held</i>					
Reinsurance expenses	(1,372,039)	-	-	-	(1,372,039)
Incurred claims recovery	-	-	860,779	83,912	944,691
Changes that relate to past service - changes in the FCF relating to incurred claims recovery	-	-	(521,675)	(78,672)	(600,347)
Reversal of a loss-recovery component other than changes in the FCF of reinsurance contracts held	-	(3,263)	-	-	(3,263)
Changes in the FCF of reinsurance contracts held from onerous underlying contracts	-	-	-	-	-
Effect of changes in risk of reinsurers' non-performance	-	-	(631)	-	(631)
	(1,372,039)	(3,263)	338,473	5,240	(1,031,589)
Finance income from reinsurance contracts held	-	-	79,918	11,079	90,997
Total changes in the consolidated statement of income	(1,372,039)	(3,263)	418,391	16,319	(940,592)
Cash flows					
Premiums paid net of ceding commissions and other directly attributable expenses	(1,262,708)	-	-	-	(1,262,708)
Recoveries from reinsurance	-	-	915,153	-	915,153
	(1,262,708)	-	915,153	-	(308,806)
Net closing balance – September 30, 2024	(150,385)	(2,062)	(2,203,690)	(344,818)	(2,700,955)

THE COMPANY FOR COOPERATIVE INSURANCE

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NOTES TO THE INTERIM CONDENSED CONSOLIDATED FINANCIAL STATEMENTS (UNAUDITED)

(continued)

FOR THE THREE AND NINE MONTHS PERIOD ENDED SEPTEMBER 30, 2024

8. INSURANCE AND REINSURANCE CONTRACTS (continued)

8.2.1 Roll-forward of net asset or liability for reinsurance contracts held showing the assets for remaining coverage and the amounts recoverable on incurred claims (continued)

e. General Accident - Hajj & Umrah

	Assets for remaining coverage		Assets recoverable on incurred claims		Total
	Excluding loss component	Loss component	Estimates of the present value of future cash flows	Risk Adjustment	
	SAR '000				
September 30, 2024 (Unaudited)					
Net opening balance – January 1, 2024	(104,219)	-	1,588	299	(102,332)

Changes in the consolidated statement of income

Income (expenses) from reinsurance contracts held

Reinsurance expenses	(242)	-	-	-	(242)
Incurred claims recovery	-	-	(789)	20	(769)
Changes that relate to past service - changes in the FCF relating to incurred claims recovery	-	-	797	(144)	653
Income on initial recognition of onerous underlying contracts	-	-	-	-	-
Reversal of a loss-recovery component other than changes in the FCF of reinsurance contracts held	-	-	-	-	-
Changes in the FCF of reinsurance contracts held from onerous underlying contracts	-	-	-	-	-
Effect of changes in risk of reinsurers' non-performance	-	-	7	-	7
	(242)	-	15	(124)	(351)
Finance income from reinsurance contracts held	-	-	26	4	30
Total changes in the consolidated statement of income	(242)	-	41	(120)	(321)

Cash flows

Premiums paid net of ceding commissions and other directly attributable expenses	(32,289)	-	-	-	(32,289)
Recoveries from reinsurance	-	-	2,343	-	2,343
	(32,289)	-	2,343	-	(29,946)
Net closing balance – September 30, 2024	(136,266)	-	3,890	419	(131,957)

THE COMPANY FOR COOPERATIVE INSURANCE

(A SAUDI JOINT STOCK COMPANY)

NOTES TO THE INTERIM CONDENSED CONSOLIDATED FINANCIAL STATEMENTS (UNAUDITED)

(continued)

FOR THE THREE AND NINE MONTHS PERIOD ENDED SEPTEMBER 30, 2024

8. INSURANCE AND REINSURANCE CONTRACTS (continued)

8.2.1 Roll-forward of net asset or liability for reinsurance contracts held showing the assets for remaining coverage and the amounts recoverable on incurred claims (continued)

f. Travel & COVID 19

	Assets for remaining coverage		Assets recoverable on incurred claims		Total
	Excluding loss component	Loss component	Estimates of the present value of future cash flows	Risk Adjustment	
	SAR '000				
September 30, 2024 (Unaudited)					
Net opening balance – January 1, 2024	(2,239)	-	438	83	(1,718)
Changes in the consolidated statement of income					
<i>Income (expenses) from reinsurance contracts held</i>					
Reinsurance expenses	-	-	-	-	-
Incurred claims recovery	-	-	-	-	-
Changes that relate to past service - changes in the FCF relating to incurred claims recovery	-	-	(1)	-	(1)
Income on initial recognition of onerous underlying contracts	-	-	-	-	-
Reversal of a loss-recovery component other than changes in the FCF of reinsurance contracts held	-	-	-	-	-
Changes in the FCF of reinsurance contracts held from onerous underlying contracts	-	-	-	-	-
Effect of changes in risk of reinsurers' non performance	-	-	-	-	-
	-	-	(1)	-	(1)
Finance income from reinsurance contracts held	-	-	1	-	1
Total changes in the consolidated statement of income					
Cash flows					
Premiums paid net of ceding commissions and other directly attributable expenses	(104)	-	-	-	(104)
Recoveries from reinsurance	-	-	-	-	-
	(104)	-	-	-	(104)
Net closing balance – September 30, 2024	(2,343)	-	438	83	(1,822)

THE COMPANY FOR COOPERATIVE INSURANCE

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NOTES TO THE INTERIM CONDENSED CONSOLIDATED FINANCIAL STATEMENTS (UNAUDITED)

(continued)

FOR THE THREE AND NINE MONTHS PERIOD ENDED SEPTEMBER 30, 2024

8. INSURANCE AND REINSURANCE CONTRACTS (continued)

8.2.1 Roll-forward of net asset or liability for reinsurance contracts held showing the assets for remaining coverage and the amounts recoverable on incurred claims (continued)

g. Protection & Savings

	Assets for remaining coverage		Assets recoverable on incurred claims		Total
	Excluding loss component	Loss component	Estimates of the present value of future cash flows	Risk Adjustment	
	SAR '000				
September 30, 2024 (Unaudited)					
Net opening balance – January 1, 2024	27,995	(2,180)	(58,284)	(3,795)	(36,264)
Changes in the consolidated statement of income					
<i>Income (expenses) from reinsurance contracts held</i>					
Reinsurance expenses	(69,111)	-	-	-	(69,111)
Incurred claims recovery	-	-	94,922	2,997	97,919
Changes that relate to past service - changes in the FCF relating to incurred claims recovery	-	-	(20,582)	(3,122)	(23,704)
Reversal of a loss-recovery component other than changes in the FCF of reinsurance contracts held	-	(656)	-	-	(656)
Changes in the FCF of reinsurance contracts held from onerous underlying contracts	-	-	-	-	-
Effect of changes in risk of reinsurers' non-performance	-	-	(51)	-	(51)
	(69,111)	(656)	74,289	(125)	4,397
Finance income from reinsurance contracts held	-	-	1,535	103	1,638
Total changes in the consolidated statement of income	(69,111)	(656)	75,824	(22)	6,035
Cash flows					
Premiums paid net of ceding commissions and other directly attributable expenses	(79,390)	-	-	-	(79,390)
Recoveries from reinsurance	-	-	78,072	-	78,072
	(79,390)	-	78,072	-	(1,318)
Net closing balance – September 30, 2024	17,716	(1,524)	(56,036)	(3,773)	(43,617)

THE COMPANY FOR COOPERATIVE INSURANCE

(A SAUDI JOINT STOCK COMPANY)

NOTES TO THE INTERIM CONDENSED CONSOLIDATED FINANCIAL STATEMENTS (UNAUDITED)

(continued)

FOR THE THREE AND NINE MONTHS PERIOD ENDED SEPTEMBER 30, 2024

8. INSURANCE AND REINSURANCE CONTRACTS (continued)

8.2.2 Roll-forward of net asset or liability for reinsurance contracts held showing the assets for remaining coverage and the amounts recoverable on incurred claims

a. Medical

	Assets for remaining coverage		Assets recoverable on incurred claims		Total
	Excluding loss component	Loss component	Estimates of the present value of future cash flows	Risk Adjustment	
	SAR '000				
December 31, 2023 (Audited)					
Net opening balance – January 1, 2023	42,261	-	(147,650)	(1,472)	(106,861)
Changes in the consolidated statement of income					
Income (expenses) from reinsurance contracts held					
Reinsurance expenses	(153,782)	-	-	-	(153,782)
Incurred claims recovery	-	-	141,282	4,738	146,020
Changes that relate to past service - changes in the FCF relating to incurred claims recovery	-	-	(7,502)	(618)	(8,120)
Income on initial recognition of onerous underlying contracts	-	-	-	-	-
Reversal of a loss-recovery component other than changes in the FCF of reinsurance contracts held	-	-	-	-	-
Effect of changes in risk of reinsurers' non-performance	-	-	759	-	759
	(153,782)	-	134,539	4,120	(15,123)
Finance income from reinsurance contracts held	-	-	1,414	98	1,512
Total changes in the consolidated statement of income	(153,782)	-	135,953	4,218	(13,611)
Cash flows					
Premiums paid net of ceding commissions	(48,248)	-	-	-	(48,248)
Recoveries from reinsurance	-	-	54,030	-	54,030
	(48,248)	-	54,030	-	5,782
Net closing balance – December 31, 2023	147,795	-	(229,573)	(5,690)	(87,468)

THE COMPANY FOR COOPERATIVE INSURANCE

(A SAUDI JOINT STOCK COMPANY)

NOTES TO THE INTERIM CONDENSED CONSOLIDATED FINANCIAL STATEMENTS (UNAUDITED)

(continued)

FOR THE THREE AND NINE MONTHS PERIOD ENDED SEPTEMBER 30, 2024

8. INSURANCE AND REINSURANCE CONTRACTS (continued)

8.2.2 Roll-forward of net asset or liability for reinsurance contracts held showing the assets for remaining coverage and the amounts recoverable on incurred claims (continued)

b. Medical Umrah

	Assets for remaining coverage		Assets recoverable on incurred claims		Total
	Excluding loss component	Loss component	Estimates of the present value of future cash flows	Risk Adjustment	
	SAR '000				
December 31, 2023 (Audited)					
Net opening balance – January 1, 2023	-	-	-	-	-
Changes in the consolidated statement of income					
Income (expenses) from reinsurance contracts held					
Reinsurance expenses	-	-	-	-	-
Incurred claims recovery	-	-	-	-	-
Changes that relate to past service - changes in the FCF relating to incurred claims recovery	-	-	-	-	-
Income on initial recognition of onerous underlying contracts	-	-	-	-	-
Reversal of a loss-recovery component other than changes in the FCF of reinsurance contracts held	-	-	-	-	-
Effect of changes in risk of reinsurers' non-performance	-	-	-	-	-
	-	-	-	-	-
Finance income from reinsurance contracts held	-	-	-	-	-
Total changes in the consolidated statement of income	-	-	-	-	-
Cash flows					
Premiums paid net of ceding commissions	-	-	-	-	-
Recoveries from reinsurance	-	-	-	-	-
	-	-	-	-	-
Net closing balance – December 31, 2023	-	-	-	-	-

THE COMPANY FOR COOPERATIVE INSURANCE

(A SAUDI JOINT STOCK COMPANY)

NOTES TO THE INTERIM CONDENSED CONSOLIDATED FINANCIAL STATEMENTS (UNAUDITED)

(continued)

FOR THE THREE AND NINE MONTHS PERIOD ENDED SEPTEMBER 30, 2024

8. INSURANCE AND REINSURANCE CONTRACTS (continued)

8.2.2 Roll-forward of net asset or liability for reinsurance contracts held showing the assets for remaining coverage and the amounts recoverable on incurred claims (continued)

c. Motor

	Assets for remaining coverage		Assets recoverable on incurred claims		Total
	Excluding loss component	Loss component	Estimates of the present value of future cash flows	Risk Adjustment	
	SAR '000				
December 31, 2023 (Audited)					
Net opening balance – January 1, 2023	(1,835)	-	(24,877)	(1,778)	(28,490)
Changes in the consolidated statement of income					
<i>Income (expenses) from reinsurance contracts held</i>					
Reinsurance expenses	(12,360)	-	-	-	(12,360)
Incurred claims recovery	-	-	6,223	326	6,549
Changes that relate to past service - changes in the FCF relating to incurred claims recovery	-	-	(5,190)	(535)	(5,725)
Income on initial recognition of onerous underlying contracts	-	-	-	-	-
Reversal of a loss-recovery component other than changes in the FCF of reinsurance contracts held	-	-	-	-	-
Effect of changes in risk of reinsurers' non-performance	-	-	142	-	142
	(12,360)	-	1,175	(209)	(11,394)
Finance income from reinsurance contracts held	-	-	650	54	704
Total changes in the consolidated statement of income	(12,360)	-	1,825	(155)	(10,690)
Cash flows					
Premiums paid net of ceding commissions	392	-	-	-	392
Recoveries from reinsurance	-	-	4,241	-	4,241
	392	-	4,241	-	4,633
Net closing balance – December 31, 2023	10,917	-	(22,461)	(1,623)	(13,167)

THE COMPANY FOR COOPERATIVE INSURANCE

(A SAUDI JOINT STOCK COMPANY)

NOTES TO THE INTERIM CONDENSED CONSOLIDATED FINANCIAL STATEMENTS (UNAUDITED)

(continued)

FOR THE THREE AND NINE MONTHS PERIOD ENDED SEPTEMBER 30, 2024

8. INSURANCE AND REINSURANCE CONTRACTS (continued)

8.2.2 Roll-forward of net asset or liability for reinsurance contracts held showing the assets for remaining coverage and the amounts recoverable on incurred claims (continued)

d. Property & Casualty

	Assets for remaining coverage		Assets recoverable on incurred claims		Total
	Excluding loss component	Loss component	Estimates of the present value of future cash flows	Risk Adjustment	
	SAR '000				
December 31, 2023 (Audited)					
Net opening balance – January 1, 2023	154,697	(22,422)	(2,212,709)	(469,431)	(2,549,865)
Changes in the consolidated statement of income					
<i>Income (expenses) from reinsurance contracts held</i>					
Reinsurance expenses	(1,674,424)	-	-	-	(1,674,424)
Incurred claims recovery	-	-	1,093,000	91,471	1,184,471
Changes that relate to past service - changes in the FCF relating to incurred claims recovery	-	-	258,798	(242,345)	16,453
Income on initial recognition of onerous underlying contracts	-	-	-	-	-
Reversal of a loss-recovery component other than changes in the FCF of reinsurance contracts held	-	(17,097)	-	-	(17,097)
Effect of changes in risk of reinsurers' non-performance	-	-	9,061	-	9,061
	(1,674,424)	(17,097)	1,360,859	(150,874)	(481,536)
Finance income from reinsurance contracts held	-	-	60,632	9,942	70,574
Total changes in the consolidated statement of income	(1,674,424)	(17,097)	1,421,491	(140,932)	(410,962)
Cash flows					
Premiums paid net of ceding commissions	(2,088,837)	-	-	-	(2,088,837)
Recoveries from reinsurance	-	-	933,748	-	933,748
	(2,088,837)	-	933,748	-	(1,155,089)
Net closing balance – December 31, 2023	(259,716)	(5,325)	(2,700,452)	(328,499)	(3,293,992)

THE COMPANY FOR COOPERATIVE INSURANCE

(A SAUDI JOINT STOCK COMPANY)

NOTES TO THE INTERIM CONDENSED CONSOLIDATED FINANCIAL STATEMENTS (UNAUDITED)

(continued)

FOR THE THREE AND NINE MONTHS PERIOD ENDED SEPTEMBER 30, 2024

8. INSURANCE AND REINSURANCE CONTRACTS (continued)

8.2.2 Roll-forward of net asset or liability for reinsurance contracts held showing the assets for remaining coverage and the amounts recoverable on incurred claims (continued)

e. General Accident - Hajj & Umrah

	Assets for remaining coverage		Assets recoverable on incurred claims		Total
	Excluding loss component	Loss component	Estimates of the present value of future cash flows	Risk Adjustment	
	SAR '000				
December 31, 2023 (Audited)					
Net opening balance – January 1, 2023	(35,738)	-	189	(17)	(35,566)
Changes in the consolidated statement of income					
Income (expenses) from reinsurance contracts held					
Reinsurance expenses	(2,640)	-	-	-	(2,640)
Incurred claims recovery	-	-	871	154	1,025
Changes that relate to past service - changes in the FCF relating to incurred claims recovery	-	-	(1,975)	(475)	(2,450)
Income on initial recognition of onerous underlying contracts	-	-	-	-	-
Reversal of a loss-recovery component other than changes in the FCF of reinsurance contracts held	-	-	-	-	-
Effect of changes in risk of reinsurers' non-performance	-	-	17	-	17
	(2,640)	-	(1,087)	(321)	(4,048)
Finance income from reinsurance contracts held	-	-	38	5	43
Total changes in the consolidated statement of income	(2,640)	-	(1,049)	(316)	(4,005)
Cash flows					
Premiums paid net of ceding commissions	(71,121)	-	-	-	(71,121)
Recoveries from reinsurance	-	-	350	-	350
	(71,121)	-	350	-	(70,771)
Net closing balance – December 31, 2023	(104,219)	-	1,588	299	(102,332)

THE COMPANY FOR COOPERATIVE INSURANCE

(A SAUDI JOINT STOCK COMPANY)

NOTES TO THE INTERIM CONDENSED CONSOLIDATED FINANCIAL STATEMENTS (UNAUDITED)

(continued)

FOR THE THREE AND NINE MONTHS PERIOD ENDED SEPTEMBER 30, 2024

8. INSURANCE AND REINSURANCE CONTRACTS (continued)

8.2.2 Roll-forward of net asset or liability for reinsurance contracts held showing the assets for remaining coverage and the amounts recoverable on incurred claims (continued)

f. Travel & COVID 19

	Assets for remaining coverage		Assets recoverable on incurred claims		Total
	Excluding loss component	Loss component	Estimates of the present value of future cash flows	Risk Adjustment	
	SAR '000				
December 31, 2023 (Audited)					
Net opening balance – January 1, 2023	(773)	-	(318)	(26)	(1,117)

Changes in the consolidated statement of income

Income (expenses) from reinsurance contracts held

Reinsurance expenses	-	-	-	-	-
Incurred claims recovery	-	-	-	-	-
Changes that relate to past service - changes in the FCF relating to incurred claims recovery	-	-	(176)	(85)	(261)
Income on initial recognition of onerous underlying contracts	-	-	-	-	-
Reversal of a loss-recovery component other than changes in the FCF of reinsurance contracts held	-	-	-	-	-
Effect of changes in risk of reinsurers' non-performance	-	-	5	-	5
	-	-	(171)	(85)	(256)
Finance income from reinsurance contracts held	-	-	10	2	12
Total changes in the consolidated statement of income	-	-	(161)	(83)	(244)

Cash flows

Premiums paid net of ceding commissions	(2,239)	-	-	-	(2,239)
Recoveries from reinsurance	-	-	277	-	277
	(2,239)	-	277	-	(1,962)
Net closing balance – December 31, 2023	(2,239)	-	438	83	(1,718)

* Travel & Covid-19 shared pool portfolio will be continued as run-off portfolio until all premiums are earned and all claims and related reserves are settled.

THE COMPANY FOR COOPERATIVE INSURANCE

(A SAUDI JOINT STOCK COMPANY)

NOTES TO THE INTERIM CONDENSED CONSOLIDATED FINANCIAL STATEMENTS (UNAUDITED)

(continued)

FOR THE THREE AND NINE MONTHS PERIOD ENDED SEPTEMBER 30, 2024

8. INSURANCE AND REINSURANCE CONTRACTS (continued)

8.2.2 Roll-forward of net asset or liability for reinsurance contracts held showing the assets for remaining coverage and the amounts recoverable on incurred claims (continued)

g. Protection & Savings

	Assets for remaining coverage		Assets recoverable on incurred claims		Total
	Excluding loss component	Loss component	Estimates of the present value of future cash flows	Risk Adjustment	
	SAR '000				
December 31, 2023 (Audited)					
Net opening balance – January 1, 2023	12,719	(3,198)	(37,413)	(4,663)	(32,555)

Changes in the consolidated statement of income

Income (expenses) from reinsurance contracts held

Reinsurance expenses	(46,384)	-	-	-	(46,384)
Incurred claims recovery	-	-	54,095	2,720	56,815
Changes that relate to past service - changes in the FCF relating to incurred claims recovery	-	-	(10,375)	(3,649)	(14,024)
Income on initial recognition of onerous underlying contracts	-	-	-	-	-
Reversal of a loss-recovery component other than changes in the FCF of reinsurance contracts held	-	(1,018)	-	-	(1,018)
Effect of changes in risk of reinsurers' non-performance	-	-	209	-	209
	(46,384)	(1,018)	43,929	(929)	(4,402)
Finance income from reinsurance contracts held	-	-	932	61	993
Total changes in the consolidated statement of income	(46,384)	(1,018)	44,861	(868)	(3,409)

Cash flows

Premiums paid net of ceding commissions	(31,108)	-	-	-	(31,108)
Recoveries from reinsurance	-	-	23,990	-	23,990
	(31,108)	-	23,990	-	(7,118)
Net closing balance – December 31, 2023	27,995	(2,180)	(58,284)	(3,795)	(36,264)

THE COMPANY FOR COOPERATIVE INSURANCE

(A SAUDI JOINT STOCK COMPANY)

NOTES TO THE INTERIM CONDENSED CONSOLIDATED FINANCIAL STATEMENTS (UNAUDITED)

(continued)

FOR THE THREE AND NINE MONTHS PERIOD ENDED SEPTEMBER 30, 2024

8. INSURANCE AND REINSURANCE CONTRACTS (continued)

8.2.3 Roll-forward of net asset or liability for reinsurance contracts held showing the assets for remaining coverage and the amounts recoverable on incurred claims (continued)

a. Medical

	Assets for remaining coverage		Assets recoverable on incurred claims		Total
	Excluding loss component	Loss component	Estimates of the present value of future cash flows	Risk Adjustment	
	SAR '000				
September 30, 2023 (Unaudited)					
Net opening balance – January 1, 2023	42,261	-	(147,650)	(1,472)	(106,861)

Changes in the consolidated statement of income

Income (expenses) from reinsurance contracts held

Reinsurance expenses	(109,246)	-	-	-	(109,246)
Incurred claims recovery	-	-	79,538	4,223	83,761
Changes that relate to past service - changes in the FCF relating to incurred claims recovery	-	-	-	-	-
Income on initial recognition of onerous underlying contracts	-	-	-	-	-
Reversal of a loss-recovery component other than changes in the FCF of reinsurance contracts held	-	-	17,919	(426)	17,493
Changes in the FCF of reinsurance contracts held from onerous underlying contracts	-	-	-	-	-
Effect of changes in risk of reinsurers' non-performance	-	-	302	-	302
	(109,246)	-	97,759	3,797	(7,690)
Finance income from reinsurance contracts held	-	-	1,329	87	1,416
Total changes in the consolidated statement of income	(109,246)	-	99,088	3,884	(6,274)

Cash flows

Premiums paid net of ceding commissions and other directly attributable expenses	(53,633)	-	-	-	(53,633)
Recoveries from reinsurance	-	-	57,963	-	57,963
	(53,633)	-	57,963	-	4,330
Net closing balance – September 30, 2023	97,874	-	(188,775)	(5,356)	(96,257)

THE COMPANY FOR COOPERATIVE INSURANCE

(A SAUDI JOINT STOCK COMPANY)

NOTES TO THE INTERIM CONDENSED CONSOLIDATED FINANCIAL STATEMENTS (UNAUDITED)

(continued)

FOR THE THREE AND NINE MONTHS PERIOD ENDED SEPTEMBER 30, 2024

8. INSURANCE AND REINSURANCE CONTRACTS (continued)

8.2.3 Roll-forward of net asset or liability for reinsurance contracts held showing the assets for remaining coverage and the amounts recoverable on incurred claims (continued)

b. Medical Umrah

	Assets for remaining coverage		Assets recoverable on incurred claims		Total
	Excluding loss component	Loss component	Estimates of the present value of future cash flows	Risk Adjustment	
	SAR '000				
September 30, 2023 (Unaudited)					
Net opening balance – January 1, 2023	-	-	-	-	-
Changes in the consolidated statement of income					
<i>Income (expenses) from reinsurance contracts held</i>					
Reinsurance expenses	-	-	-	-	-
Incurred claims recovery	-	-	-	-	-
Changes that relate to past service - changes in the FCF relating to incurred claims recovery	-	-	-	-	-
Income on initial recognition of onerous underlying contracts	-	-	-	-	-
Reversal of a loss-recovery component other than changes in the FCF of reinsurance contracts held	-	-	-	-	-
Changes in the FCF of reinsurance contracts held from onerous underlying contracts	-	-	-	-	-
Effect of changes in risk of reinsurers' non-performance	-	-	-	-	-
Finance income from reinsurance contracts held	-	-	-	-	-
Total changes in the consolidated statement of income	-	-	-	-	-
Cash flows					
Premiums paid net of ceding commissions and other directly attributable expenses	-	-	-	-	-
Recoveries from reinsurance	-	-	-	-	-
Net closing balance – September 30, 2023	-	-	-	-	-

THE COMPANY FOR COOPERATIVE INSURANCE

(A SAUDI JOINT STOCK COMPANY)

NOTES TO THE INTERIM CONDENSED CONSOLIDATED FINANCIAL STATEMENTS (UNAUDITED)

(continued)

FOR THE THREE AND NINE MONTHS PERIOD ENDED SEPTEMBER 30, 2024

8. INSURANCE AND REINSURANCE CONTRACTS (continued)

8.2.3 Roll-forward of net asset or liability for reinsurance contracts held showing the assets for remaining coverage and the amounts recoverable on incurred claims (continued)

c. Motor

	Assets for remaining coverage		Assets recoverable on incurred claims		Total
	Excluding loss component	Loss component	Estimates of the present value of future cash flows	Risk Adjustment	
	SAR '000				
September 30, 2023 (Unaudited)					
Net opening balance – January 1, 2023	(1,835)	-	(24,877)	(1,778)	(28,490)
Changes in the consolidated statement of income					
<i>Income (expenses) from reinsurance contracts held</i>					
Reinsurance expenses	(3,687)	-	-	-	(3,687)
Incurred claims recovery	-	-	2,279	(1)	2,278
Changes that relate to past service - changes in the FCF relating to incurred claims recovery	-	-	(4,567)	(534)	(5,101)
Income on initial recognition of onerous underlying contracts	-	-	-	-	-
Reversal of a loss-recovery component other than changes in the FCF of reinsurance contracts held	-	-	-	-	-
Changes in the FCF of reinsurance contracts held from onerous underlying contracts	-	-	-	-	-
Effect of changes in risk of reinsurers' non-performance	-	-	110	-	110
	(3,687)	-	(2,178)	(535)	(6,400)
Finance income from reinsurance contracts held	-	-	303	23	326
Total changes in the consolidated statement of income	(3,687)	-	(1,875)	(512)	(6,074)
Cash flows					
Premiums paid net of ceding commissions and other directly attributable expenses	117	-	-	-	117
Recoveries from reinsurance	-	-	5,771	-	5,771
	117	-	5,771	-	5,888
Net closing balance – September 30, 2023	1,969	-	(17,231)	(1,266)	(16,528)

THE COMPANY FOR COOPERATIVE INSURANCE

(A SAUDI JOINT STOCK COMPANY)

NOTES TO THE INTERIM CONDENSED CONSOLIDATED FINANCIAL STATEMENTS (UNAUDITED)

(continued)

FOR THE THREE AND NINE MONTHS PERIOD ENDED SEPTEMBER 30, 2024

8. INSURANCE AND REINSURANCE CONTRACTS (continued)

8.2.3 Roll-forward of net asset or liability for reinsurance contracts held showing the assets for remaining coverage and the amounts recoverable on incurred claims (continued)

d. Property & Casualty

	Assets for remaining coverage		Assets recoverable on incurred claims		Total
	Excluding loss component	Loss component	Estimates of the present value of future cash flows	Risk Adjustment	
	SAR '000				
September 30, 2023 (Unaudited)					
Net opening balance – January 1, 2023	154,697	(22,422)	(2,212,709)	(469,431)	(2,549,865)

Changes in the consolidated statement of income

Income (expenses) from reinsurance contracts held

Reinsurance expenses	(1,260,434)	-	-	-	(1,260,434)
Incurred claims recovery	-	-	1,415,215	194,515	1,609,730
Changes that relate to past service - changes in the FCF relating to incurred claims recovery	-	-	112,400	(127,368)	(14,968)
Reversal of a loss-recovery component other than changes in the FCF of reinsurance contracts held	-	28,452			28,452
Changes in the FCF of reinsurance contracts held from onerous underlying contracts	-	-	-	-	-
Effect of changes in risk of reinsurers' non-performance	-	-	4,014	-	4,014
	(1,260,434)	28,452	1,531,629	67,147	366,794
Finance income from reinsurance contracts held	-	-	48,558	10,411	58,969
Total changes in the consolidated statement of income	(1,260,434)	28,452	1,580,187	77,558	425,763

Cash flows

Premiums paid net of ceding commissions and other directly attributable expenses	(1,704,151)	-	-	-	(1,704,151)
Recoveries from reinsurance	-	-	839,597	-	839,597
	(1,704,151)	-	839,597	-	(864,554)
Net closing balance – September 30, 2023	(289,020)	(50,874)	(2,953,299)	(546,989)	(3,840,182)

THE COMPANY FOR COOPERATIVE INSURANCE

(A SAUDI JOINT STOCK COMPANY)

NOTES TO THE INTERIM CONDENSED CONSOLIDATED FINANCIAL STATEMENTS (UNAUDITED)

(continued)

FOR THE THREE AND NINE MONTHS PERIOD ENDED SEPTEMBER 30, 2024

8. INSURANCE AND REINSURANCE CONTRACTS (continued)

8.2.3 Roll-forward of net asset or liability for reinsurance contracts held showing the assets for remaining coverage and the amounts recoverable on incurred claims (continued)

e. General Accident - Hajj & Umrah

	Assets for remaining coverage		Assets recoverable on incurred claims		Total
	Excluding loss component	Loss component	Estimates of the present value of future cash flows	Risk Adjustment	
	SAR '000				
September 30, 2023 (Unaudited)					
Net opening balance – January 1, 2023	(35,738)	-	189	(17)	(35,566)

Changes in the consolidated statement of income

Income (expenses) from reinsurance contracts held

Reinsurance expenses	(1,896)	-	-	-	(1,896)
Incurred claims recovery	-	-	2,339	25	2,364
Changes that relate to past service - changes in the FCF relating to incurred claims recovery	-	-	(2,460)	(11)	(2,471)
Income on initial recognition of onerous underlying contracts	-	-	-	-	-
Reversal of a loss-recovery component other than changes in the FCF of reinsurance contracts held	-	-	-	-	-
Changes in the FCF of reinsurance contracts held from onerous underlying contracts	-	-	-	-	-
Effect of changes in risk of reinsurers' non-performance	-	-	-	-	-
	(1,896)	-	(121)	14	(2,003)
Finance income from reinsurance contracts held	-	-	(89)	(13)	(102)
Total changes in the consolidated statement of income	(1,896)	-	(210)	1	(2,105)

Cash flows

Premiums paid net of ceding commissions and other directly attributable expenses	(43,190)	-	-	-	(43,190)
Recoveries from reinsurance	-	-	(227)	-	(227)
	(43,190)	-	(227)	-	(43,417)
Net closing balance – September 30, 2023	(77,032)	-	172	(18)	(76,878)

THE COMPANY FOR COOPERATIVE INSURANCE

(A SAUDI JOINT STOCK COMPANY)

NOTES TO THE INTERIM CONDENSED CONSOLIDATED FINANCIAL STATEMENTS (UNAUDITED)

(continued)

FOR THE THREE AND NINE MONTHS PERIOD ENDED SEPTEMBER 30, 2024

8. INSURANCE AND REINSURANCE CONTRACTS (continued)

8.2.3 Roll-forward of net asset or liability for reinsurance contracts held showing the assets for remaining coverage and the amounts recoverable on incurred claims (continued)

f. Travel & COVID 19

	Assets for remaining coverage		Assets recoverable on incurred claims		Total
	Excluding loss component	Loss component	Estimates of the present value of future cash flows	Risk Adjustment	
	SAR '000				
September 30, 2024 (Unaudited)					
Net opening balance – January 1, 2024	(773)	-	(318)	(26)	(1,117)

Changes in the consolidated statement of income

Income (expenses) from reinsurance contracts held

Reinsurance expenses	-	-	-	-	-
Incurred claims recovery	-	-	-	-	-
Changes that relate to past service - changes in the FCF relating to incurred claims recovery	-	-	(101)	(18)	(119)
Income on initial recognition of onerous underlying contracts	-	-	-	-	-
Reversal of a loss-recovery component other than changes in the FCF of reinsurance contracts held	-	-	-	-	-
Changes in the FCF of reinsurance contracts held from onerous underlying contracts	-	-	-	-	-
Effect of changes in risk of reinsurers' non-performance	-	-	1	-	1
	-	-	(100)	(18)	(118)
Finance income from reinsurance contracts held	-	-	(2)	-	(2)
Total changes in the consolidated statement of income			(102)	(18)	(120)

Cash flows

Premiums paid net of ceding commissions and other directly attributable expenses	(1,933)	-	-	-	(1,933)
Recoveries from reinsurance	-	-	277	-	277
	(1,933)	-	277	-	(1,656)
Net closing balance – September 30, 2024	(2,706)	-	61	(8)	(2,653)

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(continued)

FOR THE THREE AND NINE MONTHS PERIOD ENDED SEPTEMBER 30, 2024

8. INSURANCE AND REINSURANCE CONTRACTS (continued)

8.2.3 Roll-forward of net asset or liability for reinsurance contracts held showing the assets for remaining coverage and the amounts recoverable on incurred claims (continued)

g. Protection & Savings

	Assets for remaining coverage		Assets recoverable on incurred claims		Total
	Excluding loss component	Loss component	Estimates of the present value of future cash flows	Risk Adjustment	
	SAR '000				
September 30, 2023 (Unaudited)					
Net opening balance – January 1, 2023	12,719	(3,198)	(37,413)	(4,663)	(32,555)

Changes in the consolidated statement of income

Income (expenses) from reinsurance contracts held

Reinsurance expenses	(27,655)	-	-	-	(27,655)
Incurred claims recovery	-	-	40,853	4,148	45,001
Changes that relate to past service - changes in the FCF relating to incurred claims recovery	-	-	(19,468)	(3,482)	(22,950)
Reversal of a loss-recovery component other than changes in the FCF of reinsurance contracts held	-	-	-	-	-
Changes in the FCF of reinsurance contracts held from onerous underlying contracts	-	(3,092)	-	-	(3,092)
Effect of changes in risk of reinsurers' non-performance	-	-	88	-	88
	(27,655)	(3,092)	21,473	666	(8,608)
Finance income from reinsurance contracts held	-	-	853	103	956
Total changes in the consolidated statement of income	(27,655)	(3,092)	22,326	769	(7,652)

Cash flows

Premiums paid net of ceding commissions and other directly attributable expenses	(25,832)	-	-	-	(25,832)
Recoveries from reinsurance	-	-	14,912	-	14,912
	(25,832)	-	14,912	-	(10,920)
Net closing balance – September 30, 2023	14,542	(106)	(44,827)	(5,432)	(35,823)

9. INVESTMENT PROPERTIES

The Group entered into a sale and purchase agreement dated 23 June 2024 to sell all of its investment properties resulting in a gain on sale of investment properties amounting to SAR 36 million.

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In compliance with Article 58 of the Insurance Implementing Regulations of Insurance Authority, the Company has deposited 10 percent of its share capital, amounting to SAR 150 million (December 31, 2023: SAR 150 million) with an approved financial institution.

	September 30, 2024 (Unaudited)	December 31, 2023 (Audited)
	SAR'000	
Statutory deposit	150,000	150,000
Less: Expected credit loss allowance	(23)	(23)
	149,977	149,977

11. ZAKAT PAYABLE**Status of assessments**

The Company has filed Zakat returns with the Zakat, Tax and Customs Authority (ZATCA) for the years from 2019 to 2023. Furthermore, ZATCA has started its review procedures for years 2019 through 2022 but has not raised any final assessment related to these years.

Management believes that appropriate and adequate provisions have been created and that the finalization of the above-mentioned assessments is not expected to have a material impact on the interim condensed consolidated financial statements for the period ended September 30, 2024.

The movement in the zakat provision for the period was as follows:

	September 30, 2024 (Unaudited)	December 31, 2023 (Audited)	September 30, 2023 (Unaudited)
	SAR'000		
Opening balance	359,844	272,168	272,168
Provided during the period / year	93,095	101,380	80,482
Payments during the period / year	(21,526)	(13,704)	(13,706)
Closing balance	431,413	359,844	338,944

12. SHARE CAPITAL

The authorized, issued and paid-up capital of the Company is SAR 1.5 billion as at September 30, 2024 (December 31, 2023: SAR 1.5 billion) consisting of 150 million shares (December 31, 2023: 150 million shares) of SAR 10 each.

Shareholding structure of the Company is as below. The shareholders of the Company are subject to zakat.

	September 30, 2024 (Unaudited)		
	Authorized and issued	Paid up	
	No. of Shares	SAR'000	
Held by the public	111,212,078	1,112,121	1,112,121
General Organization for Social Insurance ("GOSI")	38,787,922	387,879	387,879
	150,000,000	1,500,000	1,500,000
	December 31, 2023 (Audited)		
	Authorized and issued	Paid up	
	No. of Shares	SAR'000	
Held by the public	111,212,078	1,112,121	1,112,121
General Organization for Social Insurance ("GOSI")	38,787,922	387,879	387,879
	150,000,000	1,500,000	1,500,000

The Board of Directors in their meeting dated April 8, 2024, recommended to distribute 10% cash dividends at SAR 1 per share amounting to SAR 150 million which was approved by the General Assembly in their meeting dated June 23, 2024. In addition, the issued and paid-up capital have reduced by the amount of treasury shares repurchased (refer note 14).

13. STATUTORY RESERVE

In accordance with the Articles of Association of the Company and in compliance with Article 70(2)(g) of the Insurance Implementing Regulations issued by Insurance Authority (formerly Saudi Central Bank "SAMA"), the Company is required to allocate 20% of its net income for the year to the statutory reserve until it equals the value of share capital. This transfer is only made at the year end. The statutory reserve is not available for distribution to the shareholders until the liquidation of the Company.

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14. TREASURY SHARES

During the nine-month period, the Company bought back 179,227 number of shares for the purpose of granting long term stock option to senior management. The amount paid to buy-back the shares was SAR 26 million. The difference between the face value of shares purchased and the amount paid is recorded in interim condensed consolidated statement of changes in equity as a loss under treasury shares account of SAR 25 million.

15. INSURANCE SERVICE EXPENSES

For the three months period ended September 30, 2024
(Unaudited)

	Medical	Medical - Umrah	Motor	Property & Casualty	General accidents - Hajj & Umrah	Travel & COVID-19	Protection & Savings	Total
	SAR '000							
<i>Incurring claims and other directly attributable expenses</i>								
Incurring claims and other directly attributable expenses *	3,031,901	683	609,690	383,461	-	-	32,210	4,057,945
Risk adjustment due to incurred claims	134,482	-	11,834	56,149	-	-	1,719	204,184
Changes that relate to past service Losses on onerous contracts and reversal of those losses	(261,215)	(497)	(53,960)	(419,568)	877	-	(10,805)	(745,168)
	6,012	-	18,242	(1,535)	-	-	1,077	23,796
	2,911,180	186	585,806	18,507	877	-	24,201	3,540,757
Amortisation of insurance acquisition cash flows	271,379	-	81,738	41,220	-	-	2,791	397,128
	3,182,559	186	667,544	59,727	877	-	26,992	3,937,885

* These include other attributable expenses amounting to SAR 171 million.

For the three months period ended September 30, 2023
(Unaudited)

	Medical	Medical - Umrah	Motor	Property & Casualty	General accidents - Hajj & Umrah	Travel & COVID-19	Protection & Savings	Total
	SAR '000							
<i>Incurring claims and other directly attributable expenses</i>								
Incurring claims and other directly attributable expenses *	2,632,102	-	385,932	503,686	-	-	19,842	3,541,562
Risk adjustment due to incurred claims	112,529	11	12,015	92,616	25	-	2,189	219,385
Changes that relate to past service Losses on onerous contracts and reversal of those losses	(154,247)	(2,551)	(11,636)	(337,875)	(1,800)	(51)	(6,399)	(514,559)
	4,692	-	22,071	(79,065)	-	-	15	(52,287)
	2,595,076	(2,540)	408,382	179,362	(1,775)	(51)	15,647	3,194,101
Amortisation of insurance acquisition cash flows	212,418	128	89,841	30,237	207	-	709	333,540
	2,807,494	(2,412)	498,223	209,599	(1,568)	(51)	16,356	3,527,641

* These include other attributable expenses amounting to SAR 166 million.

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(continued)

FOR THE THREE AND NINE MONTHS PERIOD ENDED SEPTEMBER 30, 2024

15. INSURANCE SERVICE EXPENSES (continued)

	For the nine months period ended September 30, 2024 (Unaudited)							
	Medical	Medical - Umrah	Motor	Property & Casualty	General accidents - Hajj & Umrah	Travel & COVID-19	Protection & Savings	Total
	SAR '000							
<i>Incurring claims and other directly attributable expenses</i>								
Incurring claims and other directly attributable expenses *	8,371,351	3,089	1,794,482	1,028,134	(356)	-	106,900	11,303,600
Risk adjustment due to incurred claims	186,510	9	13,531	90,443	120	-	3,266	293,879
Changes that relate to past service	(469,735)	(4,134)	(143,285)	(643,544)	(6,581)	-	(25,948)	(1,293,227)
Losses on onerous contracts and reversal of those losses	(90,347)	-	27,149	(4,430)	-	-	(300)	(67,928)
	7,997,779	(1,036)	1,691,877	470,603	(6,817)	-	83,918	10,236,324
Amortisation of insurance acquisition cash flows	829,048	8,354	310,733	113,329	1,944	-	7,240	1,270,648
	8,826,827	7,318	2,002,610	583,932	(4,873)	-	91,158	11,506,972

* These include other attributable expenses amounting to SAR 479 million.

For the nine months period ended September 30, 2023 (Unaudited)								
	Medical	Medical - Umrah	Motor	Property & Casualty	General accidents - Hajj & Umrah	Travel & COVID-19	Protection & Savings	Total
	SAR '000							
<i>Incurring claims and other directly attributable expenses</i>								
Incurring claims and other directly attributable expenses *	7,277,632	916	899,569	1,557,049	25,352	-	45,979	9,806,497
Risk adjustment due to incurred claims	318,105	80	27,518	205,977	232	-	4,518	556,430
Changes that relate to past service	(347,567)	972	(55,727)	(21,045)	(32,070)	(5,466)	(24,341)	(485,244)
Losses on onerous contracts and reversal of those losses	(17,718)	-	8,172	24,547	-	-	(3,503)	11,498
	7,230,452	1,968	879,532	1,766,528	(6,486)	(5,466)	22,653	9,889,181
Amortisation of insurance acquisition cash flows	527,651	1,302	178,621	91,927	822	-	1,828	802,151
	7,758,103	3,270	1,058,153	1,858,455	(5,664)	(5,466)	24,481	10,691,332

* These include other attributable expenses amounting to SAR 307 million.

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(continued)

FOR THE THREE AND NINE MONTHS PERIOD ENDED SEPTEMBER 30, 2024

16. NET (EXPENSES) / INCOME FROM REINSURANCE CONTRACTS HELD

For the three months period ended September 30, 2024 (Unaudited)								
	Medical	Medical - Umrah	Motor	Property & Casualty	General accidents - Hajj & Umrah	Travel & COVID- 19	Protection & Savings	Total
	SAR '000							
Allocation of reinsurance premiums	(61,624)	-	(6,219)	(490,802)	-	-	(26,078)	(584,723)
Amounts recoverable from reinsurers for incurred claims	47,575	-	(3,755)	(29,009)	926	-	20,763	36,500
	(14,049)	-	(9,974)	(519,811)	926	-	(5,315)	(548,223)
For the three months period ended September 30, 2023 (Unaudited)								
	Medical	Medical - Umrah	Motor	Property & Casualty	General accidents - Hajj & Umrah	Travel & COVID- 19	Protection & Savings	Total
	SAR '000							
Allocation of reinsurance premiums	(43,512)	-	(2,364)	(389,695)	(298)	-	(16,654)	(452,523)
Amounts recoverable from reinsurers for incurred claims	32,988	-	(602)	119,914	(162)	(2)	13,276	165,412
	(10,524)	-	(2,966)	(269,781)	(460)	(2)	(3,378)	(287,111)
For the nine months period ended September 30, 2024 (Unaudited)								
	Medical	Medical - Umrah	Motor	Property & Casualty	General accidents - Hajj & Umrah	Travel & COVID -19	Protection & Savings	Total
	SAR '000							
Allocation of reinsurance premiums	(159,614)	-	(12,831)	(1,372,039)	(242)	-	(69,111)	(1,613,837)
Amounts recoverable from reinsurers for incurred claims	102,876	-	1,912	340,450	(109)	(1)	73,508	518,636
	(56,738)	-	(10,919)	(1,031,589)	(351)	(1)	4,397	(1,095,201)
For the nine months period ended September 30, 2023 (Unaudited)								
	Medical	Medical - Umrah	Motor	Property & Casualty	General accidents - Hajj & Umrah	Travel & COVID- 19	Protection & Savings	Total
	SAR '000							
Allocation of reinsurance premiums	(109,246)	-	(3,687)	(1,260,434)	(1,896)	-	(27,655)	(1,402,918)
Amounts recoverable from reinsurers for incurred claims	101,556	-	(2,713)	1,627,228	(107)	(118)	19,047	1,744,893
	(7,690)	-	(6,400)	366,794	(2,003)	(118)	(8,608)	341,975

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(continued)

FOR THE THREE AND NINE MONTHS PERIOD ENDED SEPTEMBER 30, 2024

17. ACCOUNTING FOR INSURANCE SHARED POOL ARRANGEMENTS

(i) Manafeth shared agreement:

On January 13, 2015 the Company, together with 25 other insurance companies, signed the Manafeth shared agreement relating to third party liability motor insurance which is effective from January 1, 2015. The agreement relates to motor insurance for vehicles entering the Kingdom of Saudi Arabia. The agreement was renewed for two years from January 1, 2019 to December 31, 2020 with 25 other insurance companies.

The main terms of the agreement are as follows:

- The Company obtains 15% management fee of the net result of the Manafeth portfolio;
- The Company obtains 4.25% of Manafeth's gross premiums written to cover the related indirect expenses; and
- The net result of the Manafeth portfolio after deducting the two above mentioned items is shared equally by the Company and other insurers.

Effective from January 1, 2021, in accordance with a new shared agreement signed together with 3 other insurance companies and Najm Insurance Services "Najm", Najm would be in charge of managing the Manafeth (Outpost Offices) and will be acting as an agent on behalf of the insurers in the agreement. The purpose of this restructuring is to handle the sale of insurance policies for the foreign vehicles entering or crossing the borders of the Kingdom of Saudi Arabia, on behalf of the participating insurance companies.

Najm will be sharing the insurance policies equally with the participating insurance companies and the accounting of premiums and related claims cost will be recorded separately by each of the participating insurance companies in their respective financial statements. The Manafeth shared pool's insurance and reinsurance results are included within Motor segment as disclosed in Note 8.1(c) and 8.2(c).

(ii) Hajj and Umrah shared agreement:

On January 01, 2020, the Company, together with 28 other insurance companies, signed the Umrah shared agreement relating to medical and general accidents insurance which was effective from January 01, 2020. Effective from March 30, 2022, the Company had also signed an Appendix "1" to an existing Umrah shared agreement with Ministry of Hajj and Umrah to include Hajj insurance product relating to general accidents insurance including Covid-19 coverage. The agreement relates to insurance of pilgrims who enter the Kingdom of Saudi Arabia.

The main terms of the agreement are as follows:

- The Company obtains 2% management fee of the net result of the Hajj and Umrah portfolio;
- The Company obtains 2.5% of Hajj and Umrah's gross premiums written to cover the related indirect expenses;
- The Company obtains 0.3% of investing portfolio funds;
- The Company pays 7.5% brokerage commission of Hajj and Umrah's gross premiums written through broker;
- The Company pays 10% of Hajj and Umrah's portfolio surplus to Ministry of Hajj and Umrah; and
- The net result of the Hajj and Umrah portfolio after deducting all the above-mentioned items is shared equally by the Company and other insurers.

The agreement ended on December 31, 2023, and thereafter above agreement has not been renewed between the Company and other insurance companies. The current agreement will be continued as run-off portfolio until all premiums are earned and all claims and related reserves are settled.

Effective January 1, 2024, the Company signed an agreement with Ministry of Hajj and Umrah, whereby the Company is responsible solely to provide insurance to foreign pilgrims including Medical & General Accidents benefits for Umrah visa holders and General Accidents benefits for Hajj visa holders. As a result, Medical – Umrah line of business is now presented under Medical line of business and General Accidents – Hajj & Umrah line of business is now presented under Property & Casualty line of business effective from 1 January 2024 (refer note 21).

(iii) Travel and COVID-19 shared agreement:

On April 6, 2021, the Company, together with 12 other insurance companies, signed the Travel and COVID-19 shared agreement relating to compulsory travel insurance in addition to coverages related to COVID-19 which is effective from April 6, 2021. The agreement relates to insurance of citizens traveling abroad.

The main terms of the agreement are as follows:

- The Company obtains 2.5% management fee of Travel and COVID-19 gross premiums written; and
- The Company obtains 30% of net result of Travel & COVID-19 portfolio after deducting the above-mentioned item and the remaining is shared equally with other insurers.

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17. ACCOUNTING FOR INSURANCE SHARED POOL ARRANGEMENTS (continued)**(iii) Travel and COVID-19 shared agreement: (continued)**

Effective from September 1, 2022, in accordance with the announcement of General Directorate of Passports (Jawazat), the Company has ceased to write Travel and COVID-19 insurance policies for the citizens traveling abroad. Consequently, Travel and COVID-19 portfolio will be continued as run-off portfolio until all premiums are earned and all claims and related reserves are settled. The approval of the settlement of remaining assets and liabilities under the shared agreement is in process with relevant regulatory body.

(iv) Inherent Defects Insurance agreement (IDI):

On January 1, 2023, the Company signed the Inherent Defects Insurance (IDI) (the pool) shared agreement relating to compulsory Inherent Defects insurance, mandated by Council of Ministers requiring all contractors involved in private sector construction project to obtain an IDI policy.

The main terms of the agreement are as follows:

- The Company's share of IDI portfolio is 3% of total share;
- The pool is being led by Malath Cooperative Insurance Company on behalf of the participating insurance companies and will exclusively be entitled to management fees of managing the portfolio.

The IDI's insurance and reinsurance results are included within Property and Casualty line of business as disclosed in Note 8.1(d) and 8.2(d).

18. BASIC AND DILUTED EARNINGS PER SHARE

Basic and diluted earnings per share for the three and nine-months period ended September 30, 2024, and September 30, 2023, have been calculated by dividing the net income for the period attributed to shareholders by the weighted average number of ordinary shares issued and outstanding at the end of the period adjusting for the treasury shares.

The calculation of weighted average number of shares in issue as at September 30, 2024, is below:

	September 30, 2024 (Unaudited)
Issued ordinary shares as at January 1, 2024	150,000,000
Effect of treasury shares buy-back	(48,292)
Weighted-average number of ordinary shares as at September 30, 2024	149,951,708

No shares buy-back took place during 2023 and therefore movement for 2023 has not been presented.

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(continued)

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19. RELATED PARTY TRANSACTIONS AND BALANCES

Related parties represent major shareholders, government related entities, directors and key management personnel of the Group, and companies of which they are principal owners, and any other entities controlled, jointly controlled, or significantly influenced by them. Pricing policies and terms of these transactions are approved by the Group's management and Board of Directors.

A government-related entity is an entity that is controlled, jointly controlled, or significantly influenced by a government. The Group's majority shareholder, GOSI, is fully owned by the Government of the Kingdom of Saudi Arabia. GOSI exercises significant influence over the Group. The shareholding of GOSI is disclosed in note 12 to the interim condensed consolidated financial statements. The Group has claimed exemption from the requirements of para 18 of IAS 24 ("Related Party Disclosure"). Transactions and balances with related parties and government related entities are listed below:

	Transactions for the three months period ended		Transactions for the nine months period ended	
	September 30, 2024 (Unaudited)	September 30, 2023 (Unaudited)	September 30, 2024 (Unaudited)	September 30, 2023 (Unaudited)
	SAR'000			
<u>Shareholder with significant influence</u>				
Insurance premium written	11,853	18,364	11,853	18,366
Claims paid to medical services provider	18,047	230	37,776	253
<u>Government related entities</u>				
Insurance premium written	382,774	302,310	2,128,385	2,807,942
Claims paid to medical service provider	364,826	227,196	1,750,172	1,715,751
<u>Associates</u>				
Insurance premium written	1,431	-	1,503	-
Waseel fees paid	2,562	4,339	4,923	8,535
United Insurance Company B.S.C. fees and claims	3,491	2,232	7,167	4,757
<u>Entities controlled, jointly controlled or significantly influenced by related parties</u>				
Insurance premium written	404,733	242,833	539,530	519,685
Claims paid to medical services provider	768	9,998	1,703	10,124
Rent expense paid	27,684	443	55,502	804
			Balance receivable / (payable) as at	
			September 30, 2024 (Unaudited)	December 31, 2023 (Audited)
			SAR'000	
<u>Shareholder with significant influence</u>				
Insurance premium written			11,853	22,435
<u>Government related entities</u>				
Insurance premium written			400,777	1,968,751
Claims paid to medical services provider			95,686	166,266
<u>Associates</u>				
Insurance premium written			789	1,459
<u>Entities controlled, jointly controlled by related parties</u>				
Insurance premium written			310,800	497,211
Najm fees			5,046	(22,436)

In accordance with the Company's Articles of Association, the Board of Directors is entitled each year to remuneration of up to 10% of the remaining profit from Shareholders' operations, as defined, based on a decision by the General Assembly. The compensation of key management personnel during the period is as follows:

	Three months period ended September 30, 2024 (Unaudited)	Three months period ended September 30, 2023 (Unaudited)	Nine months period ended September 30, 2024 (Unaudited)	Nine months period ended September 30, 2023 (Unaudited)
	SAR'000			
Salaries and other allowances	3,373	2,636	9,697	5,910
End of service indemnities	205	201	2,119	400

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20. FAIR VALUES OF FINANCIAL INSTRUMENTS

Fair value is the price that would be received to sell an asset or paid to transfer a liability in an orderly transaction in the principal (or the most advantageous) market between market participants at the measurement date under current market conditions regardless of whether that price is directly observable or estimated using another valuation technique.

Determination of fair value and fair value hierarchy

The Company uses the following hierarchy for determining and disclosing the fair value of financial instruments:

- Level 1: quoted market price: financial instruments with quoted unadjusted prices for identical instruments in active markets.
- Level 2: quoted prices in active markets for similar assets and liabilities or other valuation techniques for which all significant inputs are based on observable market data.
- Level 3: valuation techniques for which any significant input is not based on observable market data.

The following table shows the carrying amount of financial assets and financial liabilities, including their levels in the fair value hierarchy for financial instruments measured at fair value. It does not include fair value information for financial assets and financial liabilities not measured at fair value if the carrying amount is a reasonable approximation to fair value.

		SAR'000			
<u>September 30, 2024 (Unaudited)</u>		Level 1	Level 2	Level 3	Total
Investments at FVPL		-	1,739,458	-	1,739,458
Debt investment at amortised cost		-	46,925	-	46,925
Unquoted private equities at FVOCI		-	-	38,040	38,040
		-	1,786,383	38,040	1,824,423

		SAR'000			
<u>December 31, 2023</u>		Level 1	Level 2	Level 3	Total
Investments at FVPL		-	982,339	-	982,339
Unquoted private equities at FVOCI		-	-	37,630	37,630
		-	982,339	37,630	1,019,969

Reconciliation of recurring fair value measurements categorized within Level 3 of the fair value hierarchy:

The fair value used for valuation of Level 2 investments are based on prices quoted on reliable and third-party sources including Reuters, Bloomberg, etc. Fair value of unquoted equities at FVOCI classified in Level 3 are determined based on the recent transaction price. There were no transfers in between levels during the period / year ended September 30, 2024, and December 31, 2023.

The fair values of cash and cash equivalents, term deposits, receivable from brokers / agents, other assets, accrued income on statutory deposit and statutory deposit in the interim condensed consolidated statement of financial position which are carried at amortised cost, are not significantly different from the carrying values included in the interim condensed consolidated financial statements due to the short-term nature of balances or they are repayable on demand.

					SAR'000		
					Total gain or loss recognised in		
September 30, 2024 (Unaudited)	Balance January 1	Purchases	Disposals	Statement of income	Other comprehensive income	Balance as at September 30, 2024	
Private equity investment	37,630	-	-	-	410	38,040	

					SAR'000		
					Total gain or loss recognised in		
December 31, 2023 (Audited)	Balance January 1	Purchases	Disposals	Statement of income	Other comprehensive income	Balance as at December 31, 2023	
Private equity investment	111,638	15,000	(95,464)	-	6,456	37,630	

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(continued)

FOR THE THREE AND NINE MONTHS PERIOD ENDED SEPTEMBER 30, 2024

20. FAIR VALUES OF FINANCIAL INSTRUMENTS (continued)

The below table shows significant unobservable inputs used in the valuation of level 3 investments.

Description	Fair value		Unobservable inputs		Range of inputs		Relationship of unobservable inputs to FV
	September 30, 2024 (Unaudited)	December 31, 2023 (Audited)	September 30, 2024 (Unaudited)	December 31, 2023 (Audited)	September 30, 2024 (Unaudited)	December 31, 2023 (Audited)	
Private equity investment	38,040	37,630	- Annual growth rate 7% (Years from 2023 to 2027) - Growth rate 2.5% (After 2027) - WACC 10.23%		+/- 30% (illiquidity discount)		- Annual growth rate is directly proportional - Discount rate is inversely proportional

Sensitivity analysis of Level 3 investments

**September 30, 2024
(Unaudited)**

Private equity investment

Sensitivity factor

Impact on fair value due to increase in sensitivity factor

Impact on fair value due to increase in sensitivity factor

+/- 10% change in price

(3,804)

3,804

**December 31, 2023
(Audited)**

Private equity investment

Sensitivity factor

Impact on fair value due to increase in sensitivity factor

Impact on fair value due to increase in sensitivity factor

+/- 10% change in price

(3,763)

3,763

THE COMPANY FOR COOPERATIVE INSURANCE**(A SAUDI JOINT STOCK COMPANY)****NOTES TO THE INTERIM CONDENSED CONSOLIDATED FINANCIAL STATEMENTS (UNAUDITED) (continued)**
FOR THE THREE AND NINE MONTHS PERIOD ENDED SEPTEMBER 30, 2024

21. OPERATING SEGMENTS

A segment is a distinguishable component of the Group that is engaged in providing products or services (a business segment), which is subject to risk and rewards that are different from those of other segments. The Group has following reportable segments.

- Medical - coverage for health insurance. This also includes coverage for health insurance for pilgrims under Hajj and Umrah contract.
- Medical Umrah - coverage for health insurance for pilgrims (shared pool agreement)
- Motor - coverage for motor insurance and for Manafeth third party liability insurance for foreign vehicles.
- Property and casualty - coverage for property, engineering, marine, aviation, energy, and general accidents insurance. This also includes General Accidents - Hajj and Umrah insurance coverage for pilgrims under Hajj and Umrah contract.
- General accidents – Hajj & Umrah insurance - coverage for pilgrims (shared pool agreement)
- Travel and COVID-19 – coverage of compulsory travel insurance in addition to some coverages related to COVID-19 for citizens travelling abroad.
- Protection and savings

Operating segments are reported in a manner consistent with the internal reporting provided to the chief operating decision-maker. The chief operating decision-maker, who is responsible for allocating resources and assessing performance of the operating segments, has been identified as the chief executive officer that makes strategic decisions. Information disclosed in the note is based on current reporting to the chief operating decision maker. No inter-segment transactions occurred during the year.

Assets not allocated to segments include cash and cash equivalents, term deposits, investments including accrued investment income, receivable from brokers / agents, prepaid expenses and other assets, investments in equity accounted investments, investment properties, intangible assets, property, equipment, and right-of-use assets, accrued income on statutory deposit and statutory deposit. Liabilities not allocated to segments include accrued expenses and other liabilities, zakat payable, dividends payable, accrued income payable on statutory deposit and defined benefits obligation.

These unallocated assets and liabilities are not reported to chief operating decision maker under related segments and are monitored on a centralized basis.

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NOTES TO THE INTERIM CONDENSED CONSOLIDATED FINANCIAL STATEMENTS (UNAUDITED) (continued)

FOR THE THREE AND NINE MONTHS PERIOD ENDED SEPTEMBER 30, 2024

21. OPERATING SEGMENTS (continued)

a) Statement of income

	For the three months period ended September 30, 2024 (Unaudited)							
	Medical*	Medical - Umrah**	Motor	Property & casualty	General accidents - Hajj & Umrah**	Travel & COVID- 19**	Protection & Savings	Total - Insurance operations
Operating Segments	SAR'000							
Insurance revenue	3,341,549	1	688,316	632,694	1	-	33,682	4,696,243
Insurance service expenses	(3,182,559)	(186)	(667,544)	(59,727)	(877)	-	(26,992)	(3,937,885)
Insurance service result before reinsurance contracts held	158,990	(185)	20,772	572,967	(876)	-	6,690	758,358
Allocation of reinsurance premiums	(61,624)	-	(6,219)	(490,802)	-	-	(26,078)	(584,723)
Amounts recoverable from reinsurers for incurred claims	47,575	-	(3,755)	(29,009)	926	-	20,763	36,500
Net expenses / (income) from reinsurance contracts held	(14,049)	-	(9,974)	(519,811)	926	-	(5,315)	(548,223)
Insurance service result	144,941	(185)	10,798	53,156	50	-	1,375	210,135
Net finance expenses from insurance contracts issued	(41,430)	(55)	(8,041)	(54,283)	(51)	-	(1,221)	(105,081)
Net finance income from reinsurance contracts held	3,203	-	460	50,714	10	1	1,111	55,499
Net insurance finance (expenses) / income	(38,227)	(55)	(7,581)	(3,569)	(41)	1	(110)	(49,582)
Other non-insurance items								
Commission Income								158,797
Dividend Income								131
Net fair value gains on financial assets at fair value through profit or loss								2,672
Expected credit loss allowance on financial assets	(23,626)	-	17,221	36,086	-	-	-	29,682
Share of profit from equity accounted investments, net								5,170
Other operating expenses								(160,276)
Other income, net								28,651
Net profit for the period before zakat								225,380
The details of gross written premiums are as follows:								
- Retail	110,994	-	537,741	34,040	-	-	-	682,775
- Micro Enterprises	147,692	-	14,815	58,022	-	-	-	220,529
- Small Enterprises	292,508	-	22,674	74,306	-	-	-	389,488
- Medium Enterprises	244,647	-	31,398	112,001	-	-	-	388,046
- Corporates	1,918,456	-	45,370	389,131	-	-	37,665	2,390,622
	2,714,297	-	651,998	667,500	-	-	37,665	4,071,460

* Gross written premiums relating to medical segment includes medical compulsory business amounting to SAR 2,449 million.

Gross written premiums comprise of the total premiums receivable for the whole period of cover provided by the contracts entered into during the accounting period, regardless of whether these are wholly due for payment in the accounting period, together with any adjustments arising in the accounting period to such premiums receivable in respect of business written in prior accounting periods. Gross written premiums is not defined in the International Financial Reporting Standard as endorsed in the Kingdom of Saudi Arabia.

** These are run-off portfolios. For details, please refer note 17.

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NOTES TO THE INTERIM CONDENSED CONSOLIDATED FINANCIAL STATEMENTS (UNAUDITED) (continued)

FOR THE THREE AND NINE MONTHS PERIOD ENDED SEPTEMBER 30, 2024

21. OPERATING SEGMENTS (continued)

a) Statement of income (continued)

Operating Segments	For the three months period ended September 30, 2023 (Unaudited)						
	Medical*	Medical - Umrah**	Motor	Property & casualty	General accidents - Hajj & Umrah**	Travel & COVID- 19**	Protection & Savings
	SAR'000						
Insurance revenue	2,934,243	1,706	521,442	480,482	1,704	-	21,213
Insurance service expenses	(2,807,494)	2,412	(498,223)	(209,599)	1,568	51	(16,356)
Insurance service result before reinsurance contracts held	126,749	4,118	23,219	270,883	3,272	51	4,857
Allocation of reinsurance premiums	(43,512)	-	(2,364)	(389,695)	(298)	-	(16,654)
Amounts recoverable from reinsurers for incurred claims	32,988	-	(602)	119,914	(162)	(2)	13,276
Net expenses / (income) from reinsurance contracts held	(10,524)	-	(2,966)	(269,781)	(460)	(2)	(3,378)
Insurance service result	116,225	4,118	20,253	1,102	2,812	49	1,479
Net finance expenses / (income) from insurance contracts issued	(37,409)	(16)	(4,952)	(52,129)	(17)	(14)	(664)
Net finance (income) / from reinsurance contracts held	2,071	-	281	50,170	1	1	609
Net insurance finance (expenses) / income	(35,338)	(16)	(4,671)	(1,959)	(16)	(13)	(55)
Other non-insurance items							
Commission income							110,290
Dividend Income							2,393
Net fair value losses on financial assets at fair value through profit or loss							12,828
Expected credit loss allowance on financial assets							91,614
Share of profit from equity accounted investments, net							5,419
Other operating expenses							(107,926)
Other income, net							11,293
Net profit for the period before zakat							229,881
The details of gross written premiums are as follows:							
- Retail	9,663	92,250	794,510	43,135	31,920	-	-
- Micro Enterprises	121,186	-	16,143	27,495	-	-	-
- Small Enterprises	176,606	-	14,630	27,371	-	-	79
- Medium Enterprises	196,971	-	19,903	8,310	-	-	463
- Corporates	1,237,607	-	36,241	342,319	-	-	23,147
	1,742,033	92,250	881,427	448,630	31,920	-	23,689

* Gross written premiums relating to medical segment includes medical compulsory business amounting to SAR 1,739 million.

** These are run-off portfolios. For details, please refer note 17.

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NOTES TO THE INTERIM CONDENSED CONSOLIDATED FINANCIAL STATEMENTS (UNAUDITED) (continued)

FOR THE THREE AND NINE MONTHS PERIOD ENDED SEPTEMBER 30, 2024

21. OPERATING SEGMENTS (continued)

b) Statement of income

	For the nine months period ended September 30, 2024 (Unaudited)							
	Medical*	Medical - Umrah**	Motor	Property & casualty	General accidents - Hajj & Umrah**	Travel & COVID- 19**	Protection & Savings	Total - Insurance operations
Operating Segments	SAR'000							
Insurance revenue	9,502,853	3,933	2,141,013	1,758,009	1,307	-	87,317	13,494,432
Insurance service expenses	(8,826,827)	(7,318)	(2,002,610)	(583,932)	4,873	-	(91,158)	(11,506,972)
Insurance service result before reinsurance contracts held	676,026	(3,385)	138,403	1,174,077	6,180	-	(3,841)	1,987,460
Allocation of reinsurance premiums	(159,614)	-	(12,831)	(1,372,039)	(242)	-	(69,111)	(1,613,837)
Amounts recoverable from reinsurers for incurred claims	102,876	-	1,912	340,450	(109)	(1)	73,508	518,636
Net expenses / (income) from reinsurance contracts held	(56,738)	-	(10,919)	(1,031,589)	(351)	(1)	4,397	(1,095,201)
Insurance service result	619,288	(3,385)	127,484	142,488	5,829	(1)	556	892,259
Net finance expenses from insurance contracts issued	(43,555)	1,361	(11,313)	(96,088)	(73)	-	(970)	(150,638)
Net finance income from reinsurance contracts held	4,279	-	770	90,997	30	1	1,638	97,715
Net insurance finance (expenses) / income	(39,276)	1,361	(10,543)	(5,091)	(43)	1	668	(52,923)
Other non-insurance items								
Commission income								436,497
Dividend Income								1,426
Net fair value gains on financial assets at fair value through profit or loss								35,374
Expected credit loss allowance on financial assets	(105,780)	-	(17,941)	21,051	-	-	-	(102,669)
Share of profit from equity accounted investments, net								19,102
Other operating expenses								(357,932)
Other income, net								76,023
Net profit for the period before zakat								947,157
The details of gross written premiums are as follows:								
- Retail	348,797	17,459	1,545,976	130,734	6,027	-	-	2,048,993
- Micro Enterprises	696,249	-	40,515	90,919	-	-	-	827,683
- Small Enterprises	1,009,045	-	48,656	472,596	-	-	-	1,530,297
- Medium Enterprises	827,301	-	77,779	218,509	-	-	-	1,123,589
- Corporates	7,201,476	-	195,820	1,354,154	-	-	81,534	8,832,984
	10,082,868	17,459	1,908,746	2,266,912	6,027	-	81,534	14,363,546

* Gross written premiums relating to medical segment includes medical compulsory business amounting to SAR 9,102 million.

** These are run-off portfolios. For details, please refer note 17.

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NOTES TO THE INTERIM CONDENSED CONSOLIDATED FINANCIAL STATEMENTS (UNAUDITED) (continued)

FOR THE THREE AND NINE MONTHS PERIOD ENDED SEPTEMBER 30, 2024

21. OPERATING SEGMENTS (continued)

b) Statement of income (continued)

	For the nine months period ended September 30, 2023 (Unaudited)							
Operating Segments	Medical*	Medical - Umrah**	Motor	Property & casualty	General accidents - Hajj & Umrah**	Travel & COVID- 19**	Protection & Savings	Total - Insurance operations
	SAR'000							
Insurance revenue	8,297,780	17,356	1,188,038	1,516,167	10,944	-	35,188	11,065,473
Insurance service expenses	(7,758,103)	(3,269)	(1,058,153)	(1,858,455)	5,663	5,466	(24,481)	(10,691,332)
Insurance service result before reinsurance contracts held	539,677	14,087	129,885	(342,288)	16,607	5,466	10,707	374,141
Allocation of reinsurance premiums	(109,246)	-	(3,687)	(1,260,434)	(1,896)	-	(27,655)	(1,402,918)
Amounts recoverable from reinsurers for incurred claims	101,556	-	(2,713)	1,627,228	(107)	(118)	19,047	1,744,893
Net expenses / (income) from reinsurance contracts held	(7,690)	-	(6,400)	366,794	(2,003)	(118)	(8,608)	341,975
Insurance service result	531,987	14,087	123,485	24,506	14,604	5,348	2,099	716,116
Net finance expenses / (income) from insurance contracts issued	(53,363)	839	(5,096)	(62,990)	740	(51)	(1,033)	(120,954)
Net finance (income) / from reinsurance contracts held	1,416	-	326	58,969	(102)	(2)	956	61,563
Net insurance finance (expenses) / income	(51,947)	839	(4,770)	(4,021)	638	(53)	(77)	(59,391)
Other non-insurance items								
Commission income								316,437
Dividend Income								2,393
Net fair value losses on financial assets at fair value through profit or loss								(36,849)
Expected credit loss allowance on financial assets								(147,974)
Share of profit from equity accounted investments, net								22,076
Other operating expenses								(247,223)
Other income, net								41,506
Net profit for the period before zakat								607,091
The details of gross written premiums are as follows:								
- Retail	32,362	379,815	1,887,711	79,579	202,080	-	-	2,581,547
- Micro Enterprises	358,083	-	41,012	49,080	-	-	-	448,175
- Small Enterprises	437,745	-	31,875	51,333	-	-	546	521,499
- Medium Enterprises	627,311	-	53,311	53,737	-	-	1,025	735,384
- Corporates	7,102,103	-	158,283	1,400,016	-	-	26,151	8,686,553
	8,557,604	379,815	2,172,192	1,633,745	202,080	-	27,722	12,973,158

* Gross written premiums relating to medical segment includes medical compulsory business amounting to SAR 7,577 million.

** These are run-off portfolios. For details, please refer note 17.

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NOTES TO THE INTERIM CONDENSED CONSOLIDATED FINANCIAL STATEMENTS (UNAUDITED) (continued)

FOR THE THREE AND NINE MONTHS PERIOD ENDED SEPTEMBER 30, 2024

21. OPERATING SEGMENTS (continued)

c) Statement of financial position

Operating Segments	As at September 30, 2024 (Unaudited)							Total - Insurance operations
	Medical	Medical - Umrah**	Motor	Property & casualty	General accidents - Hajj & Umrah**	Travel & COVID- 19**	Protection & Savings	
	SAR'000							
Assets								
Reinsurance contract assets	283,273	-	10,248	2,700,955	131,957	1,822	43,617	3,171,872
Cash and cash equivalents								2,073,611
Term deposits								8,559,766
Investments including accrued investment income								1,824,423
Receivable from brokers / agents	2,113,896	-	1,087,925	196,169	-	-	-	3,397,990
Total unallocated assets								1,877,554
Total assets								20,905,216
Liabilities								
Insurance contract liabilities	7,409,704	328,568	1,890,868	4,595,176	652,458	76,335	492	14,953,601
Unallocated liabilities								1,652,432
Total liabilities								16,606,033

Operating Segments	As at December 31, 2023 (Audited)							Total - Insurance operations
	Medical	Medical - Umrah**	Motor	Property & casualty	General accidents - Hajj & Umrah**	Travel & COVID- 19**	Protection & Savings	
	SAR'000							
Assets								
Reinsurance contract assets	87,468	-	13,167	3,293,992	102,332	1,718	36,264	3,534,941
Cash and cash equivalents								2,081,707
Term deposits								7,368,373
Investments including accrued investment income								1,019,969
Receivable from brokers / agents	1,755,246	-	281,454	857,177	-	-	-	2,893,877
Total unallocated assets								1,517,859
Total assets								18,416,726
Liabilities								
Insurance contract liabilities	5,746,264	345,748	2,145,087	4,422,970	656,315	76,335	43,438	13,436,157
Unallocated liabilities								1,358,752
Total liabilities								14,794,909

** These are run-off portfolios. For details, please refer note 17.

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NOTES TO THE INTERIM CONDENSED CONSOLIDATED FINANCIAL STATEMENTS (UNAUDITED) (continued) FOR THE THREE AND NINE MONTHS PERIOD ENDED SEPTEMBER 30, 2024

22. CAPITAL MANAGEMENT OBJECTIVES, POLICIES AND APPROACH

The Group has established the following capital management objectives, policies and approach to managing the risks that affect its capital position:

- To maintain the required level of stability of the Group thereby providing a degree of security to policyholders;
- To allocate capital efficiently and support the development of business by ensuring that returns on capital employed meet the requirements of its capital providers and shareholders;
- To retain financial flexibility by maintaining strong liquidity and access to a range of capital markets;
- To align the profile of assets and liabilities, taking account of risks inherent in the business;
- To maintain financial strength to support new business growth and to satisfy the requirements of the policyholders, regulators and stakeholders;
- To maintain strong credit ratings and healthy capital ratios in order to support its business objectives and maximise shareholders value.

The Group manages its capital to ensure that it can continue as a going concern and comply with the regulators' capital requirements of the markets in which the Company operates while maximizing the return to stakeholders through the optimization of the debt and equity balance. The capital structure of the Company consists of equity attributable to shareholders comprising paid share capital, reserves and retained earnings.

As per guidelines laid out by SAMA in Article 66 of the Implementing Regulations of the Cooperative Insurance Companies Control Law detailing the solvency margin required to be maintained, the Company shall maintain solvency margin equivalent to the highest of the following three methods as per SAMA Implementing Regulations:

- a) Minimum Capital Requirement of SAR 200 million.
- b) Premium Solvency Margin.
- c) Claims Solvency Margin

Approach to capital management:

The Group seeks to optimise the structure and sources of capital to ensure that it consistently maximises returns to the shareholders.

The Group's approach to managing capital involves managing assets, liabilities, and risks in a coordinated way, assessing shortfalls between reported and required capital levels on a regular basis and taking appropriate actions to influence the capital position of the Company in the light of changes in economic conditions and risk characteristics. An important aspect of the Company's overall capital management process is the setting of target risk adjusted rates of return, which are aligned to performance objectives and ensure that the Company is focused on the creation of value for shareholders. The capital requirements are routinely forecast on a periodic basis and assessed against both the forecast available capital and the expected internal rate of return, including risk and sensitivity analyses. The process is ultimately subject to approval by the Board.

23. CONTINGENCIES AND COMMITMENTS

As at September 30, 2024, the Group was contingently liable for letters of guarantees, issued on its behalf by the banks, amounting to SAR 335 million (December 31, 2023: SAR 457 million) occurring in the normal course of business.

During the period, the Company has entered into a contract to purchase ERP software implementation. Under this contract, the Group is committed to pay SAR 32 million over the period of two years.

During the period, the Group has entered into a 2-year sponsorship contract with Al-Hilal Club Company (with an option to extend for another 2 years) whereby the Group has committed to pay SAR 43 million over the mandatory period of two years, the break-up of which is as follows:

- sponsorship fees of SAR 36.9 million; and
- insurance services of SAR 6.1 million

Further, the Group also expects to pay an amount of SAR 14.5 million on account of the winning fee, contingent upon winning the league matches.

The Company, in common with other insurers, is subject to litigation in the normal course of its business. Appropriate provisions have been made in relation to pending cases and management believes that finalization of these court cases is not expected to have a material impact on the interim condensed consolidated financial statements.

THE COMPANY FOR COOPERATIVE INSURANCE**(A SAUDI JOINT STOCK COMPANY)****NOTES TO THE INTERIM CONDENSED CONSOLIDATED FINANCIAL STATEMENTS (UNAUDITED) (continued)
FOR THE THREE MONTH PERIOD ENDED MARCH 31, 2023**

24. SUBSEQUENT EVENT

On October 17, 2024, the Company incorporated a wholly owned subsidiary named “Commercial Vehicle Solutions and Services Company,” a Single Member Company under commercial registration No. 1009119265, with the objective of wholesale and retailing of vehicles including new and used private cars, new and used heavy transport vehicles, new and used travel and camping vehicles, selling light and heavy vehicles on commission and other related vehicle solution services.

25. APPROVAL OF THE INTERIM CONDENSED CONSOLIDATED FINANCIAL STATEMENTS

The interim condensed consolidated financial statements have been approved by the Board of Directors, 2024 , Rabi Al Thani 27, 1446H, corresponding to October 30, 2024G.